

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-01

Visual Comfort & Co.

v.

COSCO Shipping Lines Co., Ltd.

**COMPLAINANT'S RESPONSES TO
RESPONDENT'S PROPOSED FINDINGS OF
FACT**

Pursuant to 46 C.F.R. § 502.214, Complainant Visual Comfort & Co. (“VCC”), through counsel, hereby submits the following Responses to Respondent’s Proposed Findings of Fact (“CRRPFFs”) in support of its Opening and Reply Briefs states as follows::

I. INTRODUCTION

RPFF1. On February 20, 2024, COSCO filed its Original Verified Answer to Visual Comfort & Co. (“VCC” or “Complainant”) Verified Amended Complaint (“Compl.”). Verified Answer to the Amended Complaint at 1-24.

RESPONSE: Admitted.

RPFF2. VCC alleged that all shipments with which its claims are concerned and for which RIM had assigned its claims were reflected in its spreadsheet VCC000005. (hereinafter “Relevant Shipments”). RX6-7, RX12-13, Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests, May 31, 2024, Interrogatory at 3, 15, and 16.

RESPONSE: Admitted.

RPFF3. VCC alleged that, for the period of January 2021 until December 2022 (“the Relevant Period”), COSCO “assessed VCC with detention, and demurrage, and storage charges on hundreds of ...containers” and that “the total demurrage, detention, per diem, and yard storage charges [“Charges”] total more than \$1.219 million.” Compl. ¶13.

RESPONSE: Admitted.

RPFF4. VCC alleged the Charges were “assessed by COSCO.” Compl. ¶20.

RESPONSE: Admitted.

RPFF5. VCC alleged the Charges were “paid by VCC.” Compl. ¶20

RESPONSE: Admitted.

RPFF6. VCC’s Chief Operating Officer, Gary Hirschel, verified the Complaint. Compl at

11.

II. THE PARTIES

A. COMPLAINANT VISUAL COMFORT & CO.

RPFF7. VCC is a large U.S. importer of lighting products. CX367-368 (O'Toole Dep. at 18:19-22; 19:1).

RESPONSE: Admitted.

RPFF8. VCC employs approximately 1,300 employees worldwide and has two overseas offices, both located in China. CX17 (Hirschel Dep. at 6:3-5, CX18-19 at 7:17-1).

RESPONSE: Admitted.

RPFF9. VCC has two headquarters, one located in Skokie, Illinois, and the other in Houston, Texas. CX358 (O'Toole Dep. at 9:1-6).

RESPONSE: Admitted.

RPFF10. The total quantity of cargo imported annually by VCC into the United States increased during the pandemic years, reaching more than 8,000 TEUs in 2022. CX374-375 (O'Toole Dep. at 25:17-22, 26:9-12).

RESPONSE: Admitted.

RPFF11. The estimated average value of VCC's cargo per container is over \$50,000. CX501 (O'Toole Dep. at 152:8-11).

RESPONSE: Admitted.

RPFF12. Gary Hirschel was VCC's Chief Operating Officer during the Relevant Period. CX12 (Hirschel Dep. at 11:13-18).

RESPONSE: Admitted.

RPFF13. As VCC's Director of Logistics and Transportation, Thomas O'Toole was

responsible for VCC's U.S. inbound ocean transportation in the Relevant Period. CX357 (O'Toole Dep.) at 8:19-22; CX358 (O'Toole Dep. at 9:18-22).

RESPONSE: Admitted.

B. NON-PARTY R.I.M. LOGISTICS, LTD.

RPFF14. R.I.M. Logistics, Ltd. ("RIM") is a non-vessel-operating common carrier and ocean freight forwarder, with corporate offices located at 200 N. Gary Avenue, Roselle, IL, 60172. RX176-RX191 (VCC000011-VCC000018).

RESPONSE: Admitted.

RPFF15. RIM is licensed by the Federal Maritime Commission ("FMC" or "Commission") as a non-vessel operating common carrier ("NVOCC"). RX184 (VCC000011).

RESPONSE: Admitted.

RPFF16. RIM is a Licensed Customs Broker, filer code JJ8. U.S. Customs and Border Protection ("Customs"), Permitted Customs Broker Listing <https://www.cbp.gov/about/contact/brokers-listing> (last visited November 26, 2024).

RESPONSE: Admitted.

RPFF17. VCC used RIM as a "broker who helps [VCC] contract [its] space..." (CX27 (Hirschel Dep. at 6:4-9) and "handles the clearing of containers ..." (CX29, Hirschel Dep. at 8:1-5).

RESPONSE: Denied. RIM was a non-vessel operating common carrier contracted by NVOCC to handle shipping logistics with steamship lines, including COSCO. COSCO misleadingly selects partial quotes from the Record to manufacture its argument that RIM was somehow not an NVOCC for VCC. The full quote referenced by COSCO states, "RIM

is our broker who helps us contract our space [on steamship lines such as COSCO] for our product from point A to point B.” CX_27 (Hirschel Dep. at 6). The second full quote omitted by COSCO states, “[RIM is] a broker for us who handles the clearing of containers, our non-vessel NVOCC...” *Id.* at 29 (Hirschel Dep. at 8).

RPFF18. { [REDACTED]
[REDACTED] } RX23
(COSCO_001864).

RPFF19. RIM also operates an office in Shenzhen, China. (CX66, Hirschel Dep. at 5:2-14).

RESPONSE: Admitted.

RPFF20. In 2022, VCC’s total freight spend with RIM “could have” exceeded \$50,000,000. CX464-465 (O’Toole Dep. at 115:22-13).

RESPONSE: Admitted.

RPFF21. RIM is not a party to this Proceeding.

RESPONSE: Admitted that RIM is not a named party in this Proceeding, but VCC holds an assignment of all claims RIM may have against COSCO.

C. RESPONDENT COSCO SHIPPING LINES CO. LTD.

RPFF22. Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) is a vessel-operating common carrier (“VOCC” or ocean common carrier) as defined by 46 U.S.C. § 40102(7).

RESPONSE: Admitted.

RPFF23. COSCO is headquartered at No. 378 Dong Da Ming Road, Shanghai, 200080,

People's Republic of China.

RESPONSE: Respondent does not cite to the Record to support this proposed fact.

Accordingly, it is unsubstantiated and Complainant moves to strike it. [insert cite]

RPFF24. COSCO Shipping Lines (North America) Inc. ("CSLNA") is COSCO's agent in the United States with offices located at 100 Lighting Way, Secaucus, NJ 070941.

RESPONSE: Respondent does not cite to the Record to support this proposed fact.

Accordingly, it is unsubstantiated and Complainant moves to strike it. [insert cite]

RPFF25. CSLNA is not an ocean common carrier. Respondent's Verified Motion to Dismiss, January 24, 2024.

RESPONSE: Admitted.

RPFF26. As of December 2023, COSCO's vessel operations provided ocean transportation of property between over 144 countries.

RESPONSE: Admitted.

RPFF27. Tom Takase is the Vice President for COSCO's North American Operations Center and has held this position since May 2021. CX680 (Takase Dep. at 9:15-22).

RESPONSE: Admitted.

RPFF28. Mr. Takase oversees all import operations customer service. CX681 (Takase Dep. at 10:1-9).

RESPONSE: Admitted.

RPFF29. Between November 2016 and May 2021, Mr. Takase was the Assistant Vice

President for COSCO's North American Operations Center. CX681 (Takase Dep. at 10:13-22, 11:1-2).

RESPONSE: Admitted.

III. THE RELEVANT PERIOD: COVID-19 PANDEMIC AND THE CAUSES OF CONGESTION

RPFF30. The Relevant Period (2021-2022) identified in the Complaint occurred concurrently with the COVID-19 pandemic. RX47-RX48 (Hackett Rpt.) at 7-8.

RESPONSE: Admitted.

RPFF31. There was a "high demand for cargo during the pandemic" that led to unprecedented levels of imports into the U.S. CX437 (O'Toole Dep.) at 88:15-20.

RESPONSE: Admitted.

RPFF32. "The Nation's freight transportation systems were largely overwhelmed by the unprecedented high demand that resulted from COVID-related consumer spending patterns." Testimony of Daniel B. Maffei Chairman Federal Maritime Commission Before the Subcommittee on Coast Guard and Maritime Transportation House Committee on Transportation and Infrastructure (March 23, 2023)(available at <https://www.fmc.gov/articles/testimony-of-chairman-maffei-before-congress-review-of-fiscal-year-2024-budget-request-for-the-federal-maritime-transportation-programs-and-implementation-of-the-ocean-shipping-reform-act-o/>)(last accessed December 2, 2024).

RESPONSE: Admitted.

RPFF33. In early 2020, the impacts of COVID-19 were to close factories in China, "creating a supply-side shock to the global supply chain." RX47 (Hackett Rpt.) at 7.

RESPONSE:

RPFF34. Mr. O'Toole estimated that high demand for cargo began on February 3, 2020 and

ended on February 1, 2023. CX438 (O'Toole Dep.) 89:1-6.

RESPONSE: Admitted.

RPFF35. "...if there's more cargo, then there's more demand to get into the terminal to retrieve that cargo." CX420 (O'Toole Dep.) at 71:17-19.

RESPONSE: Denied as cited. The excerpt cited by COSCO was from a separate line of questioning than cited in RPFF34. The full quote cited by COSCO involves Thomas O'Toole explaining the impact of "vessel bunching" on shipper accessibility to cargo at overcrowded terminals by stating, "if there's more than regular [quantity of] vessels to unload, then there is just – there is more cargo. So if there is more cargo, then there's more demand to retrieve that cargo." CX420 (O'Toole Dep.) at 71:17-19.

RPFF36. "As the virus spread into a global pandemic, the supply-side issues transitioned into demand-side issues as waves of lockdowns and store closures rolled through Europe and North America.. . . The surge in shipping volume coincided with Covid-19 related labor shortages throughout the supply chain. As such, the period in question was marked by record containerized freight volume and unprecedented supply-chain disruptions. The resiliency of the global supply chain was tested and found wanting, with warehouses, vessels, and container terminals all filled to capacity." RX48 (Hackett Rpt. at 8).

RESPONSE: VCC admits that COSCO repeats a quote from the Hackett Report, but denies the truth of the statement.

RPFF37. The McCown Report severely underestimates time required to handle a vessel at a container terminal. RX89 (Hackett Rpt. at 49).

RESPONSE: Denied. This statement is taken out of context. This section of the Hackett

report cites to Mr. McCown's deposition testimony discussing the time that COSCO would have saved if it had properly loaded empty vessels prior to departure. The accumulation of empty containers at the terminals eventually compounded to an extent that congestion became more detrimental to COSCO's vessel scheduling than the short-term benefit of having vessels depart under capacity.

RPFF38. Delays at terminals caused ocean carriers to sit at anchor waiting to berth at U.S. ports more than anywhere else in the world in 2021 and 2022; and these delays effectively reduced global container capacity by 11-12% while demand grew by over 7%. RX62-RX63 (Hackett Rpt. at 22-23).

RESPONSE: Admitted.

A. UNPRECEDENTED SUPPLY CHAIN DISRUPTIONS

RPFF39. The global supply chain crisis was triggered by an unprecedented global pandemic, and blame for the congestion cannot be assigned to any one actor or sector. RX48 (Hackett Rpt. at 8).

RESPONSE: VCC admits that "blame" for the global supply chain crisis cannot be assigned to any one actor or sector. However, this proposed fact lacks relevance to this proceeding. VCC does not contend that COSCO is to blame for the global supply chain crisis.

RPFF40. The notion that shippers did not contribute to the supply chain issue is of course false, as it was the surge in cargo volume (in response to surging consumer demand) that resulted in record volumes of cargo. RX48 (Hackett Rpt. at 8).

RESPONSE: Denied. COSCO references a "notion" that has not been asserted by VCC. VCC does not contend that some large volume shippers contributed to supply chain issues.

However, VCC affirmatively denies that it contributed to the same. CX 417 (O'Toole Dep.) 68:19-21; 74:18-75:6; 148:3-7; CX 37 (Hirschel Dep.) 36:8-10. Further, the use of the term "surge" is misleading. Even referencing RPFF 38, the highest demand increased was ~7%, which is not extraordinary or unusual even in normal markets.

RPFF41. Shippers are no more to blame than the consumers for spending money, but the volume of cargo that shippers were moving was directly related to congestion throughout the supply chain. RX48 (Hackett Rpt. at 8).

RESPONSE: Denied. VCC admits that shippers ordered cargo to be transported by steamship lines, but that COSCO was responsible for the congestion related to the detention and demurrage charges at issue for all reasons stated in its Opening Brief, Reply, and supporting filings.

RPFF42. The surge in shipping volume coincided with COVID-19 related labor shortages throughout the supply chain. As such, the period in question was marked by record containerized freight volume and unprecedented supply-chain disruptions. The resiliency of the global supply chain was tested and found wanting, with warehouses, vessels, and container terminals all filled to capacity. RX48 (Hackett Rpt. at 8).

RESPONSE: Admitted to the extent COSCO states general and non-specific conclusions about anecdotes during the COVID-19 pandemic.

RPFF43. COVID-19 illness did not spare longshoremen. In February, 2021 alone nearly 700 dockworkers at the Port of Los Angeles were absent due to illness; 1,500 dockworkers tested positive for COVID-19 in California. RX61 (Hackett Rpt. at 21).

RESPONSE: VCC admits that dockworkers contracted COVID-19.

RPFF44. A push to have ports operate around the clock was limited by the reality that no

other part of the U.S. supply chain could keep up. RX60 (Hackett Rpt. at 20).

RESPONSE: Denied to the extent COSCO refers to a unsupported and non-specific “push,” and the unsubstantiated claims that “no other part of the U.S. supply chain could keep up.” This proposed fact is an entirely unsupported direct quote from Hackett’s Report. Even in Hackett’s Report, there is no citation to the quoted statement. RX60 (Hackett Rpt. at 20).

RPFF45. When the Port of Los Angeles, for example, offered expanded night and weekend gate hours for trucks in September 2021, only 30% of appointments offered between 6pm and 3am were filled. RX64 (Hackett Rpt. at 24).

RESPONSE: Admitted in part, denied in part. VCC admits the anecdotal evidence proffered by this direct quote from the Hackett Report, but denies its relevance or applicability to VCC’s claims against COSCO in this proceeding. Further, COSCO has failed to provide any evidence connecting this anecdote to VCC’s conduct.

RPFF46. At the same time, there was also a lack of warehouse space, that trains were running at full capacity, and there was a nationwide shortage of about 60,000 truck drivers across the U.S. even before the pandemic. RX61-RX62 (Hackett Rpt. at 21-22).

RPFF47. The increased import volume seen at ports and terminals during the pandemic/supply chain crisis was not due solely to COSCO, since many, if not all, of the ocean carriers would have seen their vessel use surge during the supply chain crisis. RX86 (Hackett Rpt. at 46).

RESPONSE: VCC admits that the increased import volume was not due solely to COSCO. However, its claims concern COSCO’s exploitation of the increased import volume to its own financial gain in the form of detention and demurrage.

RPFF48. The increased volume that each container terminal was handling during the period in question was not just because the vessels that had been calling prior to the pandemic were full, but also because carriers were establishing new (additional) services to accommodate the surge in cargo volume. RX86-RX87 (Hackett Rpt. at 46-47).

RESPONSE: Denied as applicable to COSCO. This quote from the Hacket Report offers limited examples of carriers implementing services to accommodate volume surging, including Maher, Orient, Hapag-Lloyd, and ZIM. However, the Hackett Report – nor the Record of this proceeding – provides a single example of COSCO implementing new policies to accommodate the surge in cargo volume. In fact, COSCO expressly exacerbated the cargo surge by ordering its ships to depart port before being fully loaded with empties. CX 422 (O’Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16.

RPFF49. Terminal delays were the result of many factors, including the surge in import containers combined with the domestic supply chain difficulties including a shortage of truck chassis, a shortage of truck drivers, a shortage of warehouse space, and a shortage of warehouse workers. RX90-RX91 (Hackett Rpt. at 50-51).

RESPONSE: Denied. This proposed fact, *inter alia*, attempts to use localized anecdotes to obscure the overarching and dispositive actions made by COSCO to exacerbate and profit from the circumstances of the COVID-19 pandemic. Complainant’s Proposed Findings of Fact Section IV. COSCO’s size and market power extend far beyond that of localized trucking and rail operators, and the Record shows that COSCO was in a position to remove empty containers from its own overloaded terminals but chose not to. CX 422 (O’Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16. “They have such massive volume that whatever space they’re using is theirs exclusively... somebody else is the

terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO's very own terminal." CX 267 (McCown Dep.) 164:11-7.

**B. DEMMAND AND SHIPPER BEHAVIOR CONTRIBUTED TO
TERMINAL CONGESTION**

RPFF50. VCC's origin office in China controlled where (i.e., to which U.S. port) any shipment would arrive. CX438-440 (O'Toole Dep. at 89:22; 90:1-9; 91:4-7).

RESPONSE: Admitted.

RPFF51. VCC's origin office in China did not consider whether a particular port in the U.S. was congested when it instructed RIM to make bookings. CX441-CX442 (O'Toole Dep. at 92:16-93:3).

RESPONSE: Denied. At no place in Thomas O'Toole's deposition does he state that congestion was not a consideration. "Again, going back to this time, we were probably subject to where our capacity was available." VCC was not in a position to decide which ports it would ship to because the capacity on U.S.-bound vessels was restricted and contracted bookings were unavailable due to steamship lines' prioritization of "spot market rate." CX 442. This was another method implemented by SSLs to profit off of the COVID-19 pandemic by granting priority container access on inbound vessels to shippers who paid above-market rates. CX 442-3.

RPFF52. VCC's Director of Logistics, Mr. O'Toole, stated that if ports were full or overflowing, VCC expected COSCO to "find other solutions for us." CX440 (O'Toole Dep. at 91:15-21).

RESPONSE: Admitted.

RPFF53. However, VCC's Mr. O'Toole stated that he would not have expected an ocean

carrier like COSCO to change the destination of VCC's cargo. CX440 (O'Toole Dep. at 91:15-18).

RESPONSE: Admitted in part, denied in part. VCC admits that Mr. O'Toole stated he would not expect COSCO to change the destination of VCC's cargo, but stated the same in reference to an en route destination change. Mr. O'Toole clarified that "Again, with the congestion, we can see that the steamship lines continue to go to these congested ports..." CX 441-2 (O'Toole Dep.) 92:22-93:2. VCC was struggling to merely get its inbound containers loaded onto vessels because of the SSL's artificial spot markets, and the SSLs then knowingly continued to offer high-capacity routes to already congested ports. Complainant's Proposed Findings of Fact Section IV.

RPFF54. Nor did VCC ever submit a change of destination request to COSCO or request that COSCO use less crowded ports. CX446-448 (O'Toole Dep. at 97:18-22; 98:21-99:2).

RESPONSE: Admitted.

RPFF55. Mr. O'Toole acknowledged that ocean carriers are not in the business of carrying cargo to ports disfavored by their customers. CX447 (O'Toole Dep. at 98:9-16).

RESPONSE: Admitted.

i. VCC USED CHARTERED VESSELS

RPFF56. Chartered vessels are specifically requested by cargo owners, meaning they do not sail on regular schedules. CX509 (O'Toole Dep. at 160:2-4, 160:11-14).

RESPONSE: Denied. Mr. O'Toole only states that chartered vessels are "specifically requested," but makes no statement regarding their scheduling. CX509 (O'Toole Dep. 160:11-14).

RPFF57. Despite the fact that Mr. O'Toole believed that chartered vessels increase congestion at ports, (CX508-CX509, O'Toole Dep. at 159:18-21), VCC chartered vessels

more than once in 2021 and in 2022. CX509-CX510 (O'Toole Dep. at 160:15-22, 161:1-10).

RESPONSE: Denied in part, admitted in part. COSCO attempts to mislead the Commission by not acknowledging that chartered vessels were also owned and managed by steamship lines, such as COSCO. The full quote from Mr. O'Toole's deposition in response to a question of whether chartered vessels increased congestion states, "Yes. I believe all steamship lines contributes to the congestion at the port." VCC admits that it chartered vessels more than once in 2021 and in 2022.

Additionally, any argument that VCC – a relatively miniscule shipper – contributed to port congestion by using chartered vessels would be completely undone by COSCO's own extensive use of chartered vessels. CX 1104 (Takase Dep. at 131:11-2) ("COSCO charters vessels on a regular basis, yes.")

ii. VCC, LIKE OTHER IMPORTERS, USED PORTS FOR STORAGE

RPFF58. During the COVID period (2021-2022), many of COSCO's customers used containers as *de facto* warehouses, sometimes for long periods of time: "a lot of the import containers during this [COVID] period were held out for long periods of times, months, because they were using a container as a warehouse." CX806-808 (Takase Dep. at 135-137).

RESPONSE: RESPONSE: Admitted in part, denied in part. VCC admits the anecdotal evidence proffered, but denies its relevance or applicability to VCC's claims against COSCO in this proceeding. Further, COSCO has failed to provide any evidence connecting this anecdote to VCC's conduct.

RPFF59. Many of its customers advised COSCO that they lacked warehouse capacity. CX808-809 (Takase Dep. at 137-138).

RESPONSE: Admitted in part, denied in part. VCC admits the anecdotal evidence

proffered, but denies its relevance or applicability to VCC's claims against COSCO in this proceeding. Further, COSCO has failed to provide any evidence connecting this anecdote to VCC's conduct.

RPFF60. RIM notified VCC that ocean carriers were pushing freight forwarders and importers to out-gate loaded containers so ocean carriers could continue to unload other U.S. inbound ships and free up extremely limited space at the terminal. RX401(VCC0011937); CX492-493 (O'Toole Dep. at 143: 19-22; 144:1-18; 145:1-18).

RESPONSE: Admitted.

RPFF61. VCC decided to prioritize and take delivery of "hot containers" over other containers, even if it meant the other VCC containers remained on the terminal past free time and thereby incurred demurrage charges. CX423-424 (O'Toole Dep. at 74:10-22; 75:1-17).

RESPONSE: Denied. COSCO's misrepresentation of Mr. O'Toole's deposition testimony approached bad faith. Mr. O'Toole's direct quote from the cited section of his deposition reads, "I know we made every effort to get containers out of the port to avoid demurrage... I don't think we would necessarily prioritize a hot container over one that has been sitting there past its free time." CX424 (O'Toole Dep. at 75:4-9).

RPFF62. In a March 8, 2022 email with the subject line "Additional facility for VC Brands", a representative from RIM emailed VCC, including Mr. O'Toole, "Please let me know about the [loaded] containers to go to the additional facility in Westhampton. They confirmed they will be able to start receiving Monday with about 3 per day. They will be able to increase that number once more labor is secured. RX172 (VCC034039)." Mr. O'Toole responded to that email "Jim [Global Supply Chain Specialist for VCC], please get Ewelina [RIM representative] some containers, if we need to we can take some long dwelled containers from

BU [Burlington warehouse] as Anthony [VCC's drayage trucker] suggested." RX171 (VCC034038).

RESPONSE: Admitted.

RPFF63. VCC's Burlington, NJ warehouse could not accommodate all the loaded containers its drayage provider sought to deliver. CX418 (O'Toole Dep. at 69:12-17).

RESPONSE: VCC admits that there were limited instances where the Burlington, NJ warehouse reached capacity because COSCO's decision to not fully sweep empty containers from its terminals, *inter alia*, prohibited VCC and its agents from securing appointments to return empty containers. CX418 (O'Toole Dep. at 69:2-17).

RPFF64. VCC's Burlington, NJ warehouse was forced to transfer some of the loaded containers that it was supposed to receive to another facility because VCC's Burlington, NJ warehouse lacked adequate space. RX168-RX174 (VCC034035-VCC034041).

RESPONSE: VCC admits that there were limited instances where the Burlington, NJ warehouse reached capacity because COSCO's decision to not fully sweep empty containers from its terminals, *inter alia*, prohibited VCC and its agents from securing appointments to return empty containers. CX418 (O'Toole Dep. at 69:2-17).

RPFF65. In August, 2022, VCC's trucker, Sher-Del, emailed VCC's Mr. O'Toole stating:
"You guys can commit to all you want but it's getting the containers unloaded is what counts. I have zero confidence in your Burlington warehouse & to be honest, I'd rather not bring anything to Fairless Hills & lose a container/chassis for 4-5 weeks." RX107 (VCC047245).

RESPONSE: VCC admits the above email was sent and that there were limited instances where the Burlington, NJ warehouse reached capacity because COSCO's decision to not fully sweep empty containers from its terminals, *inter alia*, prohibited VCC and its agents

from securing appointments to return empty containers. CX418 (O'Toole Dep. at 69:2-17).

RPFF66. In December, 2021, neither VCC nor RIM had adequate plans to timely remove its cargo from Los Angeles. RX109 (VCC034954).

RESPONSE: Denied. As described in detail above and in Complainant's Proposed Findings of Fact, VCC at all times made every effort to timely unload and return its containers. CX424 (O'Toole Dep. at 75:4-9). However, COSCO knowingly introduced congestion circumstances that neither VCC nor RIM could control. Complainant's Proposed Findings of Fact Section IV.

iii. VCC MISMANAGED AND FAILED TO TIMELY PICK UP ITS CARGO

RPFF67. VCC was "always made aware of the last free day within the terminal or port" in which it needed to pick up its loaded container to avoid demurrage charges. CX478-479 (O'Toole Dep. at 129:17-4).

RESPONSE: Admitted.

RPFF68. VCC received "reports from our NVO partners that include arrival dates, last free dates, free day dates." RIM is one example of an NVO partner that sent such weekly reports to VCC with "current container locations." CX479 (O'Toole Dep. at 130:5-11); RX111-RX136 (VCC010747-VCC010772).

RESPONSE: Admitted.

RPFF69. VCC was "absolutely notified or had line of sight to last free days based on reports from RIM" relating to containers that remained at the port terminal which was true for all of the shipments in question in this case. CX131 (O'Toole Dep. at 131:3-18).

RESPONSE: Admitted.

RPFF70. Despite receiving weekly or even daily reports on arrival dates and last free days,

VCC failed to pick-up loaded containers from the port, in some cases for more than one (1) month after their arrival. RX111-RX136 (VCC010747-VCC010772).

RESPONSE: VCC admits that in highly limited circumstances, the congestion caused by COSCO resulted in containers being buried or unavailable such that they were unable to be retrieved within free time to no fault of VCC's. CX 559 (McCown Report ¶ 80).

RPFF71. VCC's Mr. Hirschel stated that VCC would have asked RIM to extend free time. CX77 (Hirschel Dep. at 6:15-17).

RESPONSE: VCC admits that it did in fact ask RIM to request free time extensions from COSCO as RIM was VCC's contracted non-vessel operating common carrier ("NVOCC").

RPFF72. VCC's Mr. Hirschel did not know whether RIM ever asked COSCO to extend free time. CX77 (Hirschel Dep. at 6:22-2)

RESPONSE: Admitted.

RPFF73. No ocean carrier, including COSCO, ever prevented VCC from picking up a loaded VCC container, nor did any ocean carrier ever prevent VCC, its NVOCC partners, or truckers from picking up a loaded container. CX485 (O'Toole Dep. at 136:15-22).

RESPONSE: Denied. COSCO misrepresents the cited testimony. Mr. O'Toole stated that, "Outside congestion at the terminals, and a lack of appointments therefore, no." *Id.* He continued to explain that appointments were required to pick up loaded containers, and the same was unavailable due to the congestion caused by the ocean carriers. CX 486.

RPFF74. VCC never communicated directly with COSCO with respect to the pickup of a VCC container. CX488 (O'Toole Dep. at 139:14-19).

RESPONSE: VCC admits that it never communicated directly with COSCO because it was not permitted to as a result of RIM Logistics being its designated NVOCC.

RPFF75. VCC never communicated directly with any of the terminals that handled VCC's shipments in this matter with respect to the pickup of a VCC container. CX488 (O'Toole Dep. at 139:14-19).

RESPONSE: VCC admits that it never communicated directly with terminals because such communications were the responsibility of VCC's NVOCCs and drayage carriers.

RPFF76. A "hot" container is a container with VCC cargo that was oversold, such as products with orders in VCC's system waiting to be fulfilled. CX423 (O'Toole Dep. at 74:3-9).

RESPONSE: Admitted.

RPFF77. From time to time, VCC decided to prioritize the delivery of "hot" containers over other loaded containers, purposefully leaving the non-prioritized containers at the terminal, even if it meant other containers incurred demurrage at the marine terminal. CX423 (O'Toole Dep. at 74:10-13); CX423 (O'Toole Dep. at 74:15-22).

RESPONSE: Denied. This proposed fact is duplicative. COSCO misrepresents the testimony of Mr. O'Toole. Mr. O'Toole's direct quote from the cited section of his deposition reads, "I know we made every effort to get containers out of the port to avoid demurrage... I don't think we would necessarily prioritize a hot container over one that has been sitting there past its free time." CX424 (O'Toole Dep. at 75:4-9).

RPFF78. VCC's warehouse in Burlington, NJ ran out of space to store cargo. CX418 (O'Toole Dep. at 69:12-17); RX107 (VCC47245).

RESPONSE: VCC admits that there were limited instances where the Burlington, NJ warehouse reached capacity because COSCO's decision to not fully sweep empty containers from its terminals, *inter alia*, prohibited VCC and its agents from securing appointments to

return empty containers. CX418 (O'Toole Dep. at 69:2-17.

RPFF79. VCC agreed with VCC's trucker, Sher-del, to pay a daily fee for storing containers at Sher-del's facility. RX138-RX142 (VCC 000006-VCC 0000010).

RESPONSE: Denied. The cited exhibit merely contains Sher-Del's general rate information. There is no mention or acknowledgement of any instance where VCC agreed to or facilitated container storage at Sher-Del's facility. *Id.*

RPFF80. Cargo that is not picked up at the port for a long time can be deemed "abandoned."

During the Relevant Period, VCC abandoned at least one shipment, upon which the container was de-stuffed and VCC's cargo was moved from the marine terminal to a warehouse, incurring \$12,730 in storage charges at the daily rate of \$460. RX144-RX145 (VCC013420-VCC013421).

RESPONSE: VCC admits that there was one instance where a container was declared abandoned by a steamship line, but that container was immediately picked up. CX500 at 151:11-7. It was not VCC's practice to abandon containers. CX37 at 6:8-10 Further, the container referenced by this proposed fact is not at issue in this proceeding, so the proposed fact must be struck.

iv. VCC AND RIM HAD TRUCKING PROBLEMS

RPFF81. VCC instructed RIM (as it did with its other NVOCCs) "to notify Sher-Del [for Burlington, NJ] and Knight [for Las Vegas, NV] for the availability of containers." CX409 (O'Toole Dep. at 60:18-19).

RESPONSE: Admitted.

RPFF82. "The scheduling of deliveries [was] coordinated between [VCC's] distribution center and the drayage provider." CX409-CX410 (O'Toole Dep. at 61:15-20; 62).

RESPONSE: Admitted.

RPFF83. During the Relevant Period, VCC and RIM had trouble locating truckers to move VCC's loaded containers. Referring to 183 loaded containers languishing at the Port of New York/New Jersey in February 2022, VCC emailed RIM: "We need to find another drayage courier to help empty these out and get them to you. This list is getting way too long." RX147 (VCC034063); CX506-507 (O'Toole Dep, at 157:15-22, 158:1-9).

RESPONSE: Admitted in part, denied in part. VCC admits to the existence of the cited communication. VCC denies the conclusion COSCO draws from it as it does not imply "trouble locating truckers," but rather the need to locate truckers to handle increased volume. Nothing in the cited communication supports COSCO's contention that RIM had trouble locating truckers. *Id.*

RPFF84. S Group China Logistics Co., Ltd., ("S Group") was a China-based intermediary that assisted VCC in securing space aboard vessels. CX476 (O'Toole Dep. at 127:2-4); CX478 (O'Toole Depo. at 129:3-9).

RESPONSE: Admitted.

RPFF85. S Group provided weekly reports to VCC and RIM that detailed certain containers that were "out-gated" (i.e., had not been returned) for a long time past free time. CX477 (O'Toole Dep. at 128:7-16).

RESPONSE: VCC admits that S Group provided weekly reports to VCC on out-gated containers. VCC denies the remainder of the proposed fact as it lacks supporting evidence.

RPFF86. S Group also relayed to VCC and RIM the need to return the containers to avoid detention charges. RX111-RX136 (VCC010747-VCC010772).

RESPONSE: Admitted.

RPFF87. VCC was routinely told by its NVOCCs of the last free day pertaining to the return of empty containers before detention charges would accrue. CX479 (O'Toole Dep. at 130:1-20); RX111-RX136 (VCC010747-VCC010772).

RESPONSE: Admitted.

RPFF88. VCC kept loaded containers at its Burlington, NJ distribution center yard. CX512 (O'Toole Dep. at 163:17-22).

RESPONSE: Denied. The cited section of Mr. O'Toole's deposition specifically states that *empty*, not loaded, containers were stored in its Burlington, NJ yard as it waited for appointment availability to get them returned.

RPFF89. Chassis supply was also a problem for VCC's trucker in New Jersey (Sher-Del):
"Due to port congestion & *a lack of chassis*, we will not be responsible for any demurrage or per diem charges for any container we couldn't pick up or return within free time." CX1207 (emphasis added); RX65 (Hackett Rpt. at 25).

RESPONSE: Denied as applicable to the containers at issue in this proceeding. COSCO quotes a section of Sher-Del's automatically applied email signature, which was applied to all emails sent by Sher-Del to all of its customers throughout the Relevant Time Period. Neither COSCO nor the Hackett Report have proffered any evidence that chassis shortages were responsible for any of the Charges at issue in this Proceeding.

RPFF90. VCC's trucker Sher-Del also advertised on its emails { [REDACTED]
[REDACTED] } RX151 (VCC47508).

RESPONSE: Admitted that this is a quote from Sher-Del's email signature blocks.

RPFF91. In December of 2021, VCC's trucker, Sher-Del, emailed VCC's Mr. O'Toole:
"Please let me know when we can start shifting loads from our yard to yours", our yard is

completely full & can't pick up anything more to hold." RX149 (VCC015261).

RESPONSE: Admitted.

RPFF92. Referring to 42 loaded charted containers languishing at the Port of New York/New Jersey in February 2022, VCC's Mr. O'Toole emailed RIM and its trucker, Sher-Del: "We need to get the charters out of the port ASAP." RX164 (VCC034057).

RESPONSE: VCC admits only to the timing and content of the quoted language. Additionally, COSCO fails to provide any evidence that the referenced containers are at issue in this proceeding. Accordingly, this proposed fact is irrelevant and must be struck.

RPFF93. There was confusion between VCC's trucker, Sher-Del, VCC's receiving manager and VCC's Mr. O'Toole as to the receiving of loaded containers from Sher-Del, as Mr. O'Toole stated "I'm trying to validate with Sher-Del but they may only have 1 for us tomorrow although he [Sher-Del] says he has 4 in his yard, so either way its probably not a full day." RX151 (VCC047508).

RESPONSE: Denied. The cited portion of Respondent's Appendix does not contain the quote from this proposed fact, nor is it located in VCC047508. Accordingly, this proposed fact must be struck for lack of evidentiary support. Even if the fact could properly be proposed, VCC denies that a single anecdote of discussing logistics between drayage carriers could be extrapolated to show general "confusion" between VCC and its trucking company.

C. COSCO DID NOT CREATE OR DESIRE CONGESTION AT U.S. PORTS

RPFF94. The notion that the terminal congestion that impacted VCC was due to a failure on COSCO's part is unreasonable. RX77 (Hackett Rpt. at 37).

RESPONSE: Denied. The dispositive action that led to widespread congestion was

COSCO's business decision to order vessels to leave port after unloading cargo, but before reloading empty containers. CX 184 (McCown Dep.) 73:19-74:16. COSCO had knowledge of all the tactics and strategies regarding its vessel underutilization and detention/demurrage fees because it internally tracked data related to the same throughout the relevant time period. CX 795 (Takase Dep.) 124:3-21.

RPFF95. "The congestion that impacted North American ports caught everyone by surprise.

As previously depicted in Exhibit 19 scores of container ships lay at anchor outside U.S. ports awaiting a berth during the global supply chain crisis. Attempts to resolve terminal congestion had little impact: ports extended gate hours to assist with container pick-up and delivery, but other parts of the supply chain remained 'broken', including a shortage of chassis, truck drivers, and warehouse workers." RX77 (Hackett Rpt. at 37).

RESPONSE: VCC admits that blame for the global supply chain crisis cannot be assigned to any one actor or sector. However, this proposed fact lacks relevance to this proceeding. VCC does not contend that COSCO is to blame for the global supply chain crisis, but rather that it exploited the same for its financial gain via, *inter alia*, its punitive detention and demurrage charges. Complainant's Proposed Findings of Fact Section IV.

RPFF96. During the pandemic, COSCO deployed special vessels ("sweeper vessels") to help alleviate port congestion, pick up empty containers, and specifically to reposition empty containers from ports in the U.S. to China. CX802 (Takase Dep. at 131:9-22).

RESPONSE: Denied. Mr. Takase, in addition to his lack of knowledge regarding the majority of previously noticed deposition topics, could not confirm whether sweeper vessels were deployed to alleviate port congestion. He merely testified that, "There should have been," and that he could only "assume that there was additional vessels being moved in..."

Id. at 131:16-20.

RPFF97. Had carriers like COSCO further delayed the departures of its vessels from U.S. ports to load additional empty containers (instead of using sweeper vessels)(as Mr. McCown suggested.CX179-180 (McCown Dep. at 76:16-4), there would have been more vessel congestion and carriers' rotation schedules would be more disrupted. COSCO could not have waited to fully load empty containers, because of severe backlogs of getting to berths, in-land supply chain issues impacting empty container returns, its desire to adhere to pre-determined vessel schedules, and the need to move other carriers' vessels into the port. RX90-RX91 (Hackett Rpt. at 50-51 and Exhibit 19).

RESPONSE: Admitted in part, denied in part. VCC admits that COSCO did instruct its vessels to leave ports under capacity. VCC denies that the same decision helped cargo fluidity because vessel bunching and demand increases had already operated to undo any predetermined vessel schedules.

RPFF98. VCC's Mr. O'Toole agreed with Mr. Hackett's observation, namely that had ocean carriers been waiting at the port terminals, such action would have slowed the delivery of VCC's cargo. CX422 (O'Toole Dep.at 73:6-19).

RESPONSE: Denied. This proposed fact is not only incorrect, but states the exact opposite of Mr. O'Toole's testimony. When asked whether COSCO's vessels should have waited to take on more empty containers, Mr. O'Toole stated, "Yes, that is my opinion." Mr. O'Toole's testimony makes the point that COSCO's decision to have its vessels leave without loading up empty containers slowed the fluidity of cargo and even if it would have led to short-term delays on product delivery, it would have mitigated the global supply chain crisis.

RPFF99. Terminals, not carriers, set a maximum inventory of containers that they can handle. CX823 (Takase Dep at 152:9-18).

RESPONSE: Denied. COSCO's size and market power extend far beyond that of localized trucking and rail operators, and the Record shows that COSCO was in a position to remove empty containers from its own overloaded terminals but chose not to. CX 422 (O'Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16. "They have such massive volume that whatever space they're using is theirs exclusively... somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO's very own terminal." CX 267 (McCown Dep.) 164:11-7.

RPFF100. Even if COSCO had been in control of terminal operations at destination ports in the United States this would not have resolved the supply chain issues outside of the terminal boundary. RX65 (Hackett Rpt. at 25).

RESPONSE: VCC admits that COSCO was not responsible for the global supply chain crisis and the same cannot be assigned to any one actor or sector. However, this proposed fact lacks relevance to this proceeding. VCC does not contend that COSCO is to blame for the global supply chain crisis, but that it exploited the same for its own financial gain via, *inter alia*, its punitive detention and demurrage charges. Complainant's Proposed Findings of Fact Section IV.

RPFF101. The marine terminals, not ocean carriers, establish how many empty containers may be brought in ("in-gated") at any particular time. CX826 (Takase Dep. at 155:5-12).

RESPONSE: Denied. COSCO's size and market power extend far beyond that of localized trucking and rail operators, and the Record shows that COSCO was in a position to remove

empty containers from its own overloaded terminals but chose not to. CX 422 (O'Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16. "They have such massive volume that whatever space they're using is theirs exclusively... somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO's very own terminal." CX 267 (McCown Dep.) 164:11-7.

RPFF102. Terminals charge ocean carriers like COSCO a daily terminal storage fee for failing to clear empty containers that sit at the port terminal which does not benefit ocean carriers like COSCO. CX823 (Takase Dep. at 152:9-14).

RESPONSE: Admitted.

RPFF103. The McCown Report does not present any data to support its assertion that terminal congestion is purely the fault of COSCO. Laying the blame for all terminal congestion at all ports at the feet of COSCO alleging that it failed "to properly manage its terminal operations at the macro level" ignores the fact that ports, carriers, and shippers all doing their best to adapt to an unprecedented global supply chain crisis triggered by a global pandemic." RX76 (Hackett Rpt. at 36).

RESPONSE: VCC admits that COSCO was not "purely" responsible for the global supply chain crisis and the same cannot be assigned to any one actor or sector. However, this proposed fact lacks relevance to this proceeding. VCC does not contend that COSCO is to blame for the global supply chain crisis, but that it exploited the same for its own financial gain via, *inter alia*, its punitive detention and demurrage charges. Complainant's Proposed Findings of Fact Section IV.

RPFF104. As member of a vessel-sharing alliance, cargo contracted to move by COSCO may

have been moved on another partner's vessel. As such, the suggestion by Mr. McCown that the terminal would be operated as if it was "COSCO's own" terminal is highly implausible. RX88-RX89 (Hackett Rpt. at 48-49).

RESPONSE: Denied. Regardless of who made the decision to implement a double move policy, COSCO has the requisite market power to be involved in or could have influenced the policy decision. CX 260 (McCown Dep.) 157:10-21. Further, COSCO fails to provide any evidentiary support from the Record to support this proposed fact.

i. COSCO DID NOT REQUIRE DUAL TRANSACTIONS

RPFF105. A dual transaction (also called a "one-for-one swap" or "double move" or "dual move") is a requirement imposed by terminals at times requiring "the same trucker to perform two transactions instead of a single" that is, entering the terminal gate once to drop off an empty container and pick up a loaded container, or vice versa. Terminals impose these requirements to alleviate truck congestion and thereby help improve or maintain fluidity of the terminal gate, as instead of two trucks waiting in the trucking line to get into the terminal, a single truck can do the two operations. CX750-751 (Takase Dep. at 79:3-22); CX80 (O'Toole Dep. at 1-9).

RESPONSE: Denied. COSCO's size and market power is substantial, and the Record shows that COSCO was in a position to remove empty containers from its own overloaded terminals but chose not to. CX 422 (O'Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16. "They have such massive volume that whatever space they're using is theirs exclusively... somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO's very own terminal." CX 267 (McCown Dep.) 164:11-7.

RPFF106. COSCO did not initiate, impose, or control "dual transaction" requirements at

marine terminals. CX485 (O'Toole Dep. at 136:6-8).

RESPONSE: Denied. “They have such massive volume that whatever space they’re using is theirs exclusively... somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO’s very own terminal.” CX 267 (McCown Dep.) 164:11-7. Even if COSCO did not initiate or impose dual transactions, it did control which terminals shippers could go to return empties. CX 485 (O'Toole Dep.) at 136:12-3. Therefore, ocean carriers did control whether empty returns would be subject to dual transaction requirements.

RPFF107. Truckers are notified by the marine terminal operator when it requires dual transactions “either online through their website to the trucking community so that the trucking community is aware, and then this could probably trickle down to the customer themselves.” CX751 (Takase Dep. at 80:11-20).

RESPONSE: Admitted.

RPFF108. COSCO did not have any role in determining whether dual transactions are required on a given day. That is “completely determined by the port terminal.” CX751 (Takase Dep. at 80:11-22; 81:1-8).

RESPONSE: Denied. “They have such massive volume that whatever space they’re using is theirs exclusively... somebody else is the terminal operator, but for all practical purposes, I would be highly confident that that terminal is operated as if it was COSCO’s very own terminal.” CX 267 (McCown Dep.) 164:11-7. Even if COSCO did not initiate or impose dual transactions, it did control which terminals shippers could go to return empties. CX 485 (O'Toole Dep.) at 136:12-3. Therefore, ocean carriers did control whether empty returns would be subject to dual transaction requirements.

RPFF109. In cases where the marine terminal operator requires dual transactions, COSCO also attempted to find ultimate locations for receiving empties, such as a nearby depot, that would be appropriate to receive the empties. CX754-755 (Takase Dep. at 83:15-22; 84:1-11).

RESPONSE: Denied. COSCO misrepresents Mr. Takase's testimony as he was discussing COSCO's policies apart from dual transactions. Takase said, "*outside of dual transactions*, there could other impediments [to] empty receiving. And in those scenarios, we would have to find ultimate locations for empty receiving. *Id.*

RPFF110. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] s.} CX756
(Takase Dep. at 85:8-21).

RESPONSE: Admitted. This is true even if it remains impossible for shippers to return empties or pick up loaded containers due to appointment unavailability.

RPFF111. Truckers prefer double moves because they reduce the amount of time spent waiting at a terminal to load or unload a container or driving between locations, which decreases their efficiency and reduces their ability to earn revenue. RX95 (Hackett Rpt. at 55).

RESPONSE: Denied. The cited portion of the Hackett report is pure speculation and provides neither citation nor factual support for the statement. Mr. Hackett simply states that truckers prefer double moves in an attempt to rebut Mr. McCown's testimony, but does not even practical reasoning to support the same. This proposed must be struck as failing to have any evidentiary support whatsoever.

RPFF112. The FMC promoted the use of double moves to increase freight fluidity at congested

terminals in 2021. FMC Commissioner Dye remarked at a meeting in November 2021, “Achieving double moves for truckers would improve trucker productivity and remove a constant source of conflict over container return as well as resolve problems with appointment systems and chassis shortages.” RX95 (Hackett Rpt. at 55).

RESPONSE: Denied to the extent COSCO extrapolates Commissioner Dye’s statement to mean that the FMC promoted the use of double moves in the manner COSCO applied them.

RPFF113. On August 11, 2022, VCC’s truckers told VCC that it did not have any problems picking up or returning COSCO containers at Maher Terminals in the Port of New York/New Jersey stating “[I’m looking at what we’re dealing with right now as far as pickups & returns go] The only good line you have right now is COSCO.” RX153 (VCC008671)

RESPONSE: Admitted that on that particular date, VCC’s truckers reported that COSCO was the only available line for pickups and returns.

RPFF114. On August 25, 2022, referring to Maher Terminals’ status, VCC’s trucker Sher-Del told VCC that “...I can get a bunch picked up with some of these COSCO empties. Those at least we can do double moves with.” CX1211.

RESPONSE: Denied. COSCO selectively quotes from this communication, which was meant to communicate that VCC had enough empty containers to meet COSCO’s double move policy. *Id.*

ii. COSCO RESPONDED TO IMPORTERS’ DEMANDS

RPFF115. COSCO was operating “near [100 percent] or high 90 percent” capacity utilization on routes from Asia to North America in 2021 and 2022, meaning that COSCO was taking advantage of full utilization of the container space on board the vessel, whether loaded containers or empty containers. CX789 (Takase Dep. at 118:2-14).

RESPONSE: Denied. Mr. Takase did not state that COSCO *was* operating near 100 percent or high 90 percent. When asked, he stated that “Our *goal* is always 100 percent utilization. So I would assume it’s very close...” *Id.* at 118:2-8. Mr. Takase did not know what COSCO’s utilization was and could only state COSCO’s goals and his assumptions. *Id.* This proposed fact must be struck as having no evidentiary support in the Record. Further, COSCO admits to employing a conscious strategy to permit under-capacity vessel departures. Respondent’s Statement of Proposed Fact 97.

RPFF116. COSCO does not export from the U.S. “anywhere near” what it imports into the U.S., thus, there is a significant need to export empty containers back to the Far East trade for imports coming back to the U.S. CX790-791 (Takase Dep. at 119:20-120:7).

RESPONSE: Admitted.

IV. DEMURRAGE, DETENTION, PER DIEM, YARD STORAGE AND THE INCENTIVE PRINCIPLE

RPFF117. “Demurrage” is a charge to a shipper or consignee for use of terminal space. 46 C.F.R. 545.5.

RESPONSE: Admitted.

RPFF118. Demurrage charges incentivize the prompt removal of cargo from a terminal. CX185 (McCown Dep. at 9-12).

RESPONSE: Admitted in part, denied in part. VCC admits that demurrage charges generally incentivize the prompt removal of cargo from a terminal, but deny that all demurrage charges accomplish that purpose.

RPFF119. Mr. O’Toole stated that a high daily demurrage rate does in fact incentivize VCC to pick up its cargo. CX511 (O’Toole Dep. at 162:8-14).

RESPONSE: Admitted. “... [W] made every effort... to avoid those charges.” *Id.*

RPFF120. In order to encourage the timely return of equipment, ocean carriers impose “detention” charges, defined by the Commission as “any charges, including ‘per diem,’ assessed by ocean common carriers ... related to the use of ... shipping containers, not including freight charges.” 46 C.F.R. § 545.5(b). The practice in the shipping industry is that the party responsible for retrieving a loaded container from a port and delivering its cargo to the addressee is allotted a certain number of days to return the empty container and any related equipment before detention charges begin to accrue. The amount of this so-called “free time” is either set forth in the ocean carrier's “tariff” of published terms and conditions for transportation or established by contract. Per diem detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return. *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n*, 106 F.4th 1113, 1114–15 (D.C. Cir. 2024).

RESPONSE: Admitted.

RPFF121. Detention is a fee for the container usage time. Containers that are not timely returned cannot be used by other shippers. CX790 (Takase Dep. at 119:15-19).

RESPONSE: Admitted

RPFF122. The term “per diem” is used interchangeably with the term “detention.” CX718 (Takase Dep. at 47:8-20); RX78 (Hackett Rpt. at 38).

RESPONSE: Admitted.

RPFF123. “Yard storage” is not the same thing as “demurrage” or “detention/per diem.” RX78 (Hackett Rpt. at 38).

RESPONSE: Denied. COSCO listed some payments for per diem as “yard storage”. CX 548 (McCown Report) at 57.

RPFF124. VCC's trucker, Sher-Del, defined "Storage Charge" in its agreement with VCC as:

"When a container is held at Sher-Del facility due to inability for Generation Brands/Visual Comfort Group to receive container." RX142 (VCC 0000010).

RESPONSE: Admitted.

RPFF125. "Yard storage" charges do not originate with an ocean carrier and should not be classified as either demurrage or detention. RX65 (Hackett Rpt. at 25).

"Yard Storage" is a charge levied by a trucker, not a carrier or a terminal, for the storage of an empty or loaded container. RX142 (VCC 0000010).

**RESPONSE: Denied. COSCO listed some payments for per diem as "yard storage". CX 548 (McCown Report) at 57. [REDACTED]
[REDACTED].] CX 761 (Takase Dep.).**

RPFF126. { [REDACTED]
[REDACTED] } CX760 (Takase Dep. at 89:12-18).

**RESPONSE: Denied. COSCO listed some payments for per diem as "yard storage". CX 548 (McCown Report) at 57. [REDACTED]
[REDACTED].] CX 761 (Takase Dep.).**

RPFF127. Rebuttal Expert Hackett understands that "The FMC noted that 'the primary purposes of demurrage and detention are to serve as financial incentives to encourage the productive use of assets (containers and terminal space) and promote optimal cargo velocity through marine terminals. As such, the intent of demurrage and detention charges is similar to those of certain taxes: to encourage/discourage a certain behavior. Much like a tax on cigarettes is designed to dissuade people from smoking, demurrage and detention fees are designed to encourage the timely pick-up of a container from a port and the timely return of

that same container to the port. The intent is that the container terminal is not used as a temporary storage warehouse for inbound cargo and that boxes can be re-positioned efficiently to where they are needed.” RX63-RX64 (Hackett Rpt. at 23-24).

RESPONSE: Admitted in part, denied in part. VCC admits that the intent of demurrage and detention charges is to incentivize the free movement of cargo. VCC denies that such charges are comparable to a “tax.” Commissioner Dye expressly stated, “when incentives no longer function because shippers are prevented from picking up cargo or returning containers within the allotted time, charges should be suspended.” CX 557 (McCown Report ¶ 75).

V. COSCO’S DISPUTE RESOLUTION PRACTICES

RPFF128. COSCO’s published its dispute resolution policies and practices regarding demurrage and detention, and its invoices contained information about points of contact, timeframes, and corroboration requirements. (COSCO SHIPPING Lines North America Demurrage and Detention (per diem) Disputes, Mitigates and Waivers Procedure). <https://world.lines.coscoshipping.com/na/en/dndp/dnddp/1/1>

RESPONSE: Admitted.

RPFF129. COSCO has “policies in place to not bill in . . . circumstances if its not incentivizing movement of cargo.” CX811 (Takase Dep. at 140:3-13).

RESPONSE: VCC admits that Mr. Takase testified to the existence of such policies, but denies their efficacy. Additionally, Mr. Takase testified that he only knew that there were policies, but not what the policies were or if they were even written down. *Id.* at 140:15-20.

RPFF130. If a customer advised COSCO about the inability to pick up a loaded container that was still in free time, COSCO would take the circumstances into account for any kind of

mitigation. CX810 (Takase Dep. at 139:1-9).

RESPONSE: VCC admits that COSCO required documents evidencing only gate closures in order to extend free time. *Id.* at CX 767 at 96:4-9.

RPFF131. In order to dispute a detention or demurrage charge, COSCO asks customers to submit valid supporting documents supporting their argument that prevented them from returning an empty container or picking up a loaded container. CX766-767 (Takase Dep. at 95:13-96:3).

RESPONSE: VCC admits that COSCO required documents evidencing only gate closures in order to extend free time. *Id.* at CX 767 at 96:4-9.

RPFF132. Such documents could include a screen shot of the terminal's online platform showing no appointments or gate closures, or an email between the trucker and the terminal showing problems. CX767 (Takase Dep. at 96:18-22).

RESPONSE: VCC admits that COSCO required documents evidencing only gate closures in order to extend free time. *Id.* at CX 767 at 96:4-9.

RPFF133. COSCO is "open to review any scenario" where a dispute is submitted detailing a trucker's inability to return an empty container or to pick up a loaded container. CX767 (Takase Dep. at 96:4-17).

RESPONSE: VCC admits that COSCO may be open to reviewing disputes, but COSCO's policy is clear that "typically... an actual physical gate restriction to return the empty," was required. *Id.*

RPFF134. COSCO may consider "significant congestion" in the terminal as a valid dispute reason, but a dispute must be submitted in order for COSCO to consider the circumstances. CX768 (Takase Dep. at 97:2-14).

RESPONSE: Admitted in part, denied in part. VCC admits that Mr. Takase stated that

significant congestion could be considered, but denies that he stated a dispute needed to be submitted for COSCO to consider the circumstances. Nowhere in the cited portion of Takase's testimony does he state the same. Additionally, Mr. Takase testified that he only knew that there were policies, but not what the policies were or if they were even written down. *Id.* at 140:15-20. Therefore, this denied section of this proposed fact must be struck.

RPFF135. If a customer disputes a detention charge with COSCO alleging an inability to return an empty container, COSCO evaluates whether a valid reason exists for the inability to return the container, for example, a terminal gate closure, or the unavailability of an alternate receiving location. CX810 (Takase Dep. at 139:10-16).

RESPONSE: Admitted.

RPFF136. COSCO has automated policies in place to not bill for detention or demurrage in situations where the fluidity of cargo would not be facilitated. CX811 (Takase Dep. at 140:3-13).

RESPONSE: Denied. Nowhere in the cited portion of Takase's testimony does he state that COSCO has automated policies to not bill charges in situations where the fluidity of cargo would not be facilitated. Additionally, Mr. Takase testified that he only knew that there were policies, but not what the policies were or if they were even written down. *Id.* at 140:15-20. Therefore, this proposed fact must be struck.

RPFF137. COSCO has policies in place for "approving mitigation of certain scenarios" to not bill customers if there existed no incentive to the movement of cargo. CX811-812 (Takase Dep. at 140:3-22, 141:1-7).

RESPONSE: VCC admits that COSCO may be open to reviewing disputes, but COSCO's policy is clear that "typically... an actual physical gate restriction to return the empty," was required. CX767 (Takase Dep. at 96:4-17).

RPFF138. COSCO's practice is to waive, mitigate, and refund demurrage and detention charges when justified. CX811 (Takase Dep. at 140:3-22); CX812 (Takase Dep. at 141:1-7).

RESPONSE: Denied. First, nowhere in the cited portion of Takase's testimony does he even speak to COSCO's practices. The cited section of his testimony exclusively relates to his highly limited understanding of COSCO's policies. Second, this proposed fact is extremely vague in its use of the term "justified." COSCO offers nothing in support of what that means and the cited portion of Mr. Takase's testimony does not define it or explain any policies to accomplish the same. Therefore, this proposed fact must be struck.

RPFF139. Significant amounts of demurrage and detention bills have been waived in the Relevant Period, as demonstrated by the FMC's Demurrage and Detention Indices (Q2 2020-Q42023), which show the collective rate of such fees billed, collected, and waived by the nine largest ocean carriers (including COSCO). RX69 (Hackett Rpt. at 29).

RESPONSE: Admitted in part, denied in part. VCC admits that ocean carriers, anecdotally, have waived detention and demurrage charges. VCC denies that COSCO's policies regarding the same are reasonable and denies that such charges were appropriately applied to the Charges at issue in this proceeding.

RPFF140. COSCO has policies for approving mitigation for certain scenarios including instances where customers made COSCO aware of gate closures whereby COSCO would take the action of not billing [*i.e.*, extending free time or waiving daily charges] for such days. CX812 (Takase Dep. at 141:4-7).

RESPONSE: VCC admits that Mr. Takase spoke broadly about alleged policies that COSCO had. However, Mr. Takase testified that he only knew that there were policies, but not what the policies were or if they were even written down. *Id.* at 140:15-20.

RPFF141. If an internal COSCO error or operational error occurs, COSCO adjusts or extends

detention or demurrage free time. CX814 (Takase Dep. at 143:2-6). COSCO has a policy to “adjust the demurrage or detention accordingly” by “credit[ing] the customer that day or extend the free time a day to compensate for the error” such as if a clerk delayed a cargo release. CX728-729 (Takase Dep. at 57:5-22; 58:1-9).

RESPONSE: VCC admits that this was a consideration by COSCO, but that such instances of internal errors had to be self-reported. *Id.* Additionally, Mr. Takase did not know whether COSCO even had an official policy regarding the reporting of internal errors. *Id.* at 60:6-10.

RPFF142. COSCO prefers to have the equipment (the empty shipping container) returned to the terminal rather than charge detention, and COSCO constantly pushes customers to return the empty container timely. CX809 (Takase Dep. at 138:1-15).

RESPONSE: Denied. Mr. Takase may have stated that COSCO preferred to have containers returned, but COSCO’s finances say otherwise. COSCO admitted that increased detention and demurrage rates contributed to an overall rise in COSCO’s profit margin. *Id.* at 134:10-16; App’x at CX 532 (McCown Report) ¶ 20. This was because COSCO’s detention and demurrage billing practices were more aggressive than the rest of the industry. *Id.*

RPFF143. COSCO takes “proactive measurements to extend the free time” when there is a widespread error or a delay on COSCO’s end of which COSCO is aware. CX730 (Takase Dep. at 59:2-12).

RESPONSE: VCC admits that in the event of a “system outage or something that would cause an error across multiple shipments and we were aware of it prior,” that COSCO would take proactive steps to extend free time. *Id.*

RPFF144. Although COSCO takes “proactive measurements to extend the free time” if it’s

determined that COSCO was the party at fault, a customer may also request additional free time through the COSCO portal “if they feel that they shouldn’t be responsible for a particular day of storage due to an alleged COSCO error.” CX729 (Takase Dep. at 59:2-12; 58:10-22).

RESPONSE: Admitted.

RPFF145. A trucker or a consignee may obtain a waiver, credit, or refund of demurrage or detention charges from COSCO for a particular day simply by providing screen shots (or other corroboration) showing that the relevant facility(ies) were not available – including by reason of closure, lack of appointments and/or dual move requirements, without even asserting that it actually tried to pick up or return the container on that day. CX767-CX769 (Takase Dep. at 96:4-98:14).

RESPONSE: Denied. Mr. Takase testified that the above reasons would be “taken into consideration,” for waiver or refund. *Id.* Indeed, Mr. Takase did not say that simply providing screenshots guaranteed the same.

RPFF146. Invoices issued by COSCO during the Relevant Period had dispute contact information printed thereon. CX913 (COSCO_0000013).

RESPONSE: Admitted.

RPFF147. Depending on the scenario, COSCO can resolve some disputes, such as detention or demurrage disputes, the same day the dispute was filed or it could take several weeks, but COSCO makes every effort to resolve all disputes within 30-days. CX770 (Takase Dep. at 99:18-100:4).

RESPONSE: VCC admits, based on Mr. Takase’s testimony, that it may take anywhere between the same day and several weeks to resolve disputes. *Id.*

RPFF148. The FMC Interpretive Rule takes into account whether dispute resolution processes exist as a factor in determining reasonableness. 46 C.F.R. 545.5(d).

RESPONSE: VCC admits that the mere existence of a dispute resolution process is required by the FMC, but just because a dispute resolution process exists does not mean that it satisfies the FMC's standards.

RPFF149. COSCO is "open to review any scenario" regarding a refund of demurrage or detention fees. However, both VCC and RIM failed to submit any disputes whatsoever for any of the shipments at issue in this litigation. CX767 (Takase Dep. at 96:4-17).

RESPONSE: Admitted in part, denied in part. VCC admits that COSCO may be "open" to reviewing disputes submitted, as would be necessitated by the existence of a dispute resolution system. VCC denies that VCC and RIM failed to submit disputes for the shipments at issue.

VI. DEMURRAGE AND DETENTION: COSCO'S PRACTICES

RPFF150. Throughout the Relevant Period, COSCO's demurrage and detention practices and regulations were published in its publicly accessible tariff rules. US Import Demurrage at USA Tariff Rule and US Import Detention at USA Tariff Rule. (<https://world.lines.coscoshipping.com/na/en/dndp/dndtr/1/5>).

RESPONSE: Admitted.

RPFF151. COSCO considers the FMC's Incentive Principle when determining whether to charge detention or demurrage. CX806-807 (Takase Dep. at 135:18-136:3).

RESPONSE: Admitted.

RPFF152. COSCO understands that the FMC's Incentive Principle serves to "incentivize either the return of the equipment or picking up a load from the terminals . . . You should incentivize the cargo owner to pick up the cargo to avoid those charges and maintain cargo fluidity . . . the goal is to operate within that free time range to avoid these costs [demurrage and detention], which would incentivize the cargo to be moving as freely as possible."

CX805-806 (Takase Dep. at 134:17-135:5).

RESPONSE: VCC admits that COSCO understands the Incentive Principle. However, this proceeding concerns COSCO's knowing disregard for the Principle.

RPFF153. COSCO's rates for demurrage and detention were among the lowest of its peers globally and in North America. RX77 (Hackett Rpt. at 37).

RESPONSE: Denied. COSCO's detention and demurrage fees were more aggressive than the rest of the industry. CX 532 (McCown Report) ¶ 20.

RPFF154. When an empty container is not returned on time, COSCO loses the opportunity to give that empty container to another shipper in the U.S. or overseas. CX791 (Takase Dep. at 120:4-13).

RESPONSE: Admitted, which increases spot market rates and demurrage revenue for COSCO. CX 444 (O'Toole Dep.) at 957-19.

A. DEMURRAGE

RPFF155. COSCO agrees with the FMC's Incentive Principle, noting that without the consequence of potential demurrage charges, "the customers would end up leaving their containers on the terminal indefinitely and use it as storage." CX807 (Takase Dep. at 136:11-14).

RESPONSE: Denied as applied to VCC. Thomas O'Toole testified that VCC is incentivized to pick up its containers without detention and demurrage fees because "[w]e want to sell the product. It's no good to us sitting there." CX 510 (O'Toole Dep.) at 162:22-1.

RPFF156. COSCO charges demurrage and detention fees for no other reason than to incentivize the fluidity of cargo. CX810-811 (Takase Dep. at 139:17-20; 139:21-140:2).

RESPONSE: Denied. COSCO admitted that increased detention and demurrage rates contributed to an overall rise in COSCO's profit margin. *Id.* at 134:10-16; App'x at CX 532

(McCown Report) ¶ 20. This was because COSCO's detention and demurrage fees were more aggressive than the rest of the industry. *Id*

RPFF157. VCC's Mr. O'Toole agreed that a high daily demurrage charge affirmatively incentivized VCC to timely pick up its cargo. CX511 (O'Toole Dep. at 162:8-14).

RESPONSE: Admitted in part. Thomas O'Toole testified that VCC was incentivized by detention and demurrage fees, but that it was also incentivized to pick up its containers without detention and demurrage fees because "[w]e want to sell the product. It's no good to us sitting there." CX 510 (O'Toole Dep.) at 162:22-1

RPFF158. Customers are not "naturally incentivized" to move their own cargo because during the COVID period in 2021 and 2022, warehouses often reached capacity preventing a customer from accepting additional containers. Customers would "leave the containers on the terminals as long as they possibly could . . . and maxed out their [demurrage] free time for sure." CX807-808 (Takase Dep. at 136:16-7).

RESPONSE: Denied as applied to VCC. Thomas O'Toole testified that VCC is incentivized to pick up its containers without detention and demurrage fees because "[w]e want to sell the product. It's no good to us sitting there." CX 510 (O'Toole Dep.) at 162:22-1.

RPFF159. If it was cheaper for customers to pay the demurrage rates at the terminal than to find a source to warehouse the cargo, customers would leave the containers at the terminal for as long as they possibly could. CX808 (Takase Dep. at 137:8-16).

RESPONSE: Denied as applied to VCC. Thomas O'Toole testified that VCC is incentivized to pick up its containers without detention and demurrage fees because "[w]e want to sell the product. It's no good to us sitting there." CX 510 (O'Toole Dep.) at 162:22-1.

RPFF160. Importers expected to have to pay if they are late picking up cargo, as VCC's Mr. O'Toole stated he believed it to be a "reasonable expectation" that VCC would incur demurrage

charges for VCC loaded containers that remained at the port for more than its allotted demurrage free time. CX510 (O'Toole Dep. at 161:11-17).

RESPONSE: Denied. Mr. O'Toole extended that expectation to ten (10) days in his testimony, and qualified his expectation based on the actual ability of an importer to access its cargo. *Id.*

RPFF161. When a loaded imported container is not picked up within free time, COSCO issues an invoice for demurrage at rates set forth in its tariff. CX760 (Takase Dep. at 89:1-4).

RESPONSE: Admitted.

RPFF162. If a container is not available to be picked up (for example, because it is buried in a container stack at the terminal port), the container availability status in the terminal's system will typically indicate that it is not available to be picked up and as such, no charges will apply. CX768 (Takase Dep. at 97:15-98:14).

RESPONSE: Admitted in part. VCC admits that Mr. Takase states that buried containers would qualify for waived charged *if such status was indicated in the terminal system*; however, he continued by saying that "[the terminals] all use different systems... it may not detail exactly why [a container is] unavailable." *Id.*

B. CUSTOMS HOLDS

RPFF163. When foreign cargo is brought through a U.S. seaport, the clearance and release of the Customs must be obtained on behalf of the importer, by a licensed Customs Broker. RIM was responsible for obtaining Customs' releases for VCC's cargo. CX446 (O'Toole Dep. at 97:12-16).

RESPONSE: Admitted.

RPFF164. VCC's cargo was sometimes subject to "holds" for examination or inspection by Customs and Border Protection ("Customs") or other agencies, such as the Food and Drug

Administration. (generically referred to as “Customs’ holds”). CX445-446 (O’Toole Dep. at 97). RX155 (VCC031164); RX156 (VCC006443).

RESPONSE: Admitted.

RPFF165. VCC knew that Customs’ holds on VCC cargo would delay the release of the cargo. CX446 (O’Toole Dep. at 97:1-5).

RESPONSE: Admitted.

RPFF166. VCC’s Expert asserts that there are clearly times when delays in removing cargo is clearly attributable to the importer, such as examination and inspection holds. CX 201 (McCown Dep. at 9-19).

RESPONSE: Admitted.

RPFF167. COSCO has no control of when Customs orders the inspection of an inbound loaded container. CX773 (Takase Dep. at 102:11-22).

RESPONSE: Admitted.

RPFF168. RIM was responsible for obtaining Customs’ releases for all of the Relevant Shipments. CX446 (O’Toole Dep. at 97: 12-16).

RESPONSE: Admitted.

RPFF169. RIM asked COSCO for information and assistance on Customs’ holds. CX1192-CX1193; CX1196.

RESPONSE: VCC admits that on two occasions, RIM asked COSCO for status updates and explanations for custom holds. *Id.*

C. DETENTION

RPFF170. COSCO’s preference is to have the empty container returned, rather than collect the revenue derived from the detention charges. CX808 (Takase Dep.) at 137:19-22; 138:1-8.

RESPONSE: Denied. Mr. Takase may have stated that COSCO preferred to have containers returned, but COSCO's finances say otherwise. [REDACTED] increased detention and demurrage rates contributed to an overall rise in COSCO's profit margin. *Id.* at 134:10-16; App'x at CX 532 (McCown Report) ¶ 20. This was because COSCO's detention and demurrage billing practices were more aggressive than the rest of the industry. *Id.*

RPFF171. { [REDACTED] } See, e.g., RX23-RX35 (COSCO_001864 – COSCO_001892).

RESPONSE: Admitted.

RPFF172. Because the length of time containers have been in use by importers/consignees is undeterminable until after the container has been returned empty, COSCO can only calculate whether the return is late and issue invoices for detention charges (if any) **after** the empty container is returned. CX764 (Takase Dep. at 93:12-22).

RESPONSE: Denied. Invoices are only issued after the empty container returns because COSCO's billing system is semiautomated. *Id.* It is determinable whether an empty container is late based on expiration of the previously determined free time.

RPFF173. COSCO's billing system for detention charges is semi-automated and invoices are issued based on the date the container was removed from the terminal and the date the container was returned. CX764 (Takase Dep. at 93:12-22).

RESPONSE: Admitted.

RPFF174. COSCO automatically extends detention free time for days when there is a gate closure at any marine terminal (i.e. a complete shutdown or zero appointments that day for the return of any empty containers). CX799 (Takase Dep. at 128:1-7).

RESPONSE: Admitted.

RPFF175. If a terminal's gates are open and accepting appointments for the return of empty containers, unless a request for additional free time is received, COSCO has no way of knowing which importer (or trucker) can secure an appointment and which cannot. CX799 (Takase Dep. at 128:1-7).

RESPONSE: Denied. Unavailability of appointments can be reported and monitored by COSCO. COSCO certainly has the ability to know whether its terminals are accepting appointments. Particularly when appointments are full, COSCO can then be made aware that subsequent appointment requests could not possibly be accepted. Therefore, COSCO should have treated appointments reaching capacity as a gate closure, and paused detention and demurrage charges until additional appointments could be secured.

RPFF176. COSCO also considers the terminal's gate to be closed when the terminal declares and reports to COSCO that it did not issue any (zero) appointments that day at all. CX799-800 (Takase Dep. at 128:16-129:2).

RESPONSE: Denied. Mr. Takase testified that even in the described scenario, "it would have to be reported as a gate closure by the terminal." *Id.*

RPFF177. Except for terminal closures, unless COSCO is made aware of any difficulty returning an empty container, COSCO does not have any knowledge whatsoever of causes for a late return. CX765 (Takase Dep. at 94:6-18).

RESPONSE: Admitted in part. The reason COSCO does not have any knowledge regarding a delayed return is because "[t]here isn't any proactive process" for determining a reason that an invoice is not issued on time. "The only proactive measures that we take is that if there's known gate closures..." *Id.* at 95:2-6.

RPFF178. COSCO does not have any reason to charge detention fees other than to

incentivize the movement of cargo. CX810 (Takase Dep. at 139:17-20).

RESPONSE: Denied. COSCO admitted that increased detention and demurrage rates contributed to an overall rise in COSCO's profit margin. *Id.* at 134:10-16; App'x at CX 532 (McCown Report) ¶ 20. This was because COSCO's detention and demurrage fees were more aggressive than the rest of the industry. *Id.*

D. ALLEGED CHARGES FOR “YARD STORAGE” AND “STORAGE”

RPFF179. “Yard Storage” is not used interchangeably with demurrage or detention. RX65 (Hackett Rpt. at 25).

RESPONSE: Denied. COSCO listed some payments for per diem as “yard storage”. CX 548 (McCown Report) at 57. Even Mr. Takase, COSCO's designated corporate witness, stated that, [REDACTED] [REDACTED] CX 760 (Takase Dep.) at 89:12-22.

RPFF180. “Yard Storage” charges account for 62.6% of McCown's VCC demurrage and detention calculation, and removing it reduces the ‘Total Per TEU’ calculation from \$525 to \$197. RX67 (Hackett Rpt. at 27). Including “yard storage” inflates the demurrage and detention value that McCown uses in his analysis and thus does not support the assertion that the daily rate of COSCO's demurrage or detention charges was unreasonable. RX67 (Hackett Rpt. at 27).

RESPONSE: Denied. COSCO listed some payments for per diem as “yard storage”. CX 548 (McCown Report) at 57. Even Mr. Takase, COSCO's designated corporate witness, stated that, [REDACTED] CX 760 (Takase Dep.) at 89:12-22.

RPFF181. Although Mr. O'Toole testified that charges assessed by railroads were omitted

from the spreadsheet of disputed charges (CX431 (O'Toole Dep. at 82:13-21)), it clearly includes charges alleged to have been paid to railroads (specifically, BNSF and Canadian National) that are described therein as "storage." Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC000005).

RESPONSE: Denied. The produced spreadsheet of contested charges exclusively consists of charges levied by COSCO. *Id.* COSCO fails to offer any specific evidence to support its statement that the dispute charges include storage fees from railroads. COSCO cites broadly to the entire list of disputed charges, but does not offer any details as to which containers fall into its allegation of being railroad charges. Column E of VCC000005 shows that all charges at issue in this proceeding were imposed by COSCO. CX 1221 (VCC000005).

RPFF182. When asked at deposition, Mr. O'Toole stated that it was "not [his] belief that ocean carriers control rail terminals." CX433 (O'Toole Dep. at 84:5).

RESPONSE: Admitted.

RPFF183. COSCO does not bill rail demurrage or rail storage; these charges are billed directly by the railroad and paid to the railroad. CX800 (Takase Dep. at 129:18-21).

RESPONSE: Admitted. However, this proposed fact is not relevant to this proceeding as VCC is not bringing any claims to recoup charges by railroads, nor has COSCO provided any evidence to support the same. Column E of VCC000005 shows that all charges at issue in this proceeding were imposed by COSCO. CX 1221 (VCC000005).

RPFF184. COSCO did not charge RIM or VCC for storage at rail depots. CX800-801 (Takase Dep. at 129:12-130:11).

RESPONSE: Admitted.

RPFF185. COSCO does not have any role whatsoever in managing rail availability. CX797 (Takase Dep. at 126:5-7).

RESPONSE: Denied. The overarching and dispositive actions made by COSCO to exacerbate and profit from the circumstances of the COVID-19 pandemic. Complainant's Proposed Findings of Fact Section IV. COSCO's size and market power extend far beyond that of localized trucking and rail operators, and the Record shows that COSCO was in a position to remove empty containers from its own overloaded terminals but chose not to. CX 422 (O'Toole Dep.) 73:1-9, 84:20-86:3; CX 184 (McCown Dep.) 73:19-74:16. This same decision contributed to overloading the US supply chain, including the storage yards and availability of railroads.

E. FREE TIME

RPFF186. "All [NSA] contracts between VCC and RIM typically had [demurrage and detention] free time included in them" which was negotiated with RIM by Mr. O'Toole on behalf of VCC. CX383 (O'Toole Dep. at 34:3-6).

RESPONSE: Admitted.

RPFF187. VCC was responsible to RIM for the timely return of empty containers to the marine terminal or place of return. RX176-RX191 (VCC047847-VCC047849, VCC000011-18).

RESPONSE: Admitted.

RPFF188. {RIM controlled the amount of free time VCC received for demurrage and detention. As agreed by RIM and VCC in their May 2020-April 2021 NSA, VCC had ten (10) days of demurrage and detention free time within which it was required to remove its cargo from the port terminal, after which charges would begin to accrue.} CX383 (O'Toole Dep. at 34:8-22); CX384 (O'Toole Dep. at 35:12-19); RX178 (VCC047849)

(May 2020-April 2021 NSA).

RESPONSE: Admitted.

RPFF189. {

[REDACTED] }

CX383 (O'Toole Dep. at 34:13-22; 35:12-35:1); RX176-RX191 (VCC047847-VCC047849, VCC000011-18).

RESPONSE: Admitted.

RPFF190. VCC never once asked RIM for additional free time in cases, if any, where free time was insufficient for reasons outside the control of VCC/its trucker. RX5, (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (May 31, 2024, Admission 7 at 4).

RESPONSE: Denied. This proposed fact is a gross misrepresentation of VCC's discovery responses. VCC admitted that it never requested an extension of free time from COSCO, not RIM as claimed here. *Id.* VCC expressly stated that it had RIM and other NVOCCs request extensions of free time from COSCO on its behalf. *Id.*

RPFF191. Neither VCC nor RIM requested that COSCO extend free time in 2021. CX391 (O'Toole Dep. at 42:10-17).

RESPONSE: Denied. This is patently false. *Id.* Thomas O'Toole expressly testified that, "Requests were made to actually extend free time, but it's my understanding that all requests for increased free time or even keeping the ten days was rejected... I made those requests." *Id.* at CX 391.

RPFF192. VCC did not request COSCO to extend free time in 2022. CX391 (O'Toole Dep.195 at 42:15-17).

RESPONSE: Admitted in part. VCC admits that it did not directly request free time extensions to COSCO because it did not have access to its dispute submission system. RX5, (Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests (May 31, 2024, Admission 7 at 4).

RPFF193. VCC did not know whether RIM requested COSCO to extend free time in 2021 or 2022. CX391 (O’Toole Dep. at 42:18-20); RX166 (VCC047829).

RESPONSE: Denied. Mr. O’Toole testified that, “I do believe there were email communications from [RIM] stating that upon my request, the response I got was the steamship lines are looking to go the other way; meaning, a reduction in free time.” *Id.*

RPFF194. Relief was available to VCC, upon request and corroboration, in any situation in which VCC was unable to pick-up or return containers due to circumstances outside VCCs control. CX694-CX695 (Takase Dep. at 23:1-22:1); CX810 (Takase Dep. at 139:1-9); CX767 (Takase Dep. at 96:4-17).

RESPONSE: Denied. In addition to the multitude of reasons articulated in Complainant’s Initial Brief, Reply Brief, and supporting filings, COSCO’s punitive detention and demurrage policies – both in issuance and collection – caused substantial damages to VCC despite its best efforts to dispute the charges via its NVOCCs. Complainant’s Findings of Fact Section V-VII.

RPFF195. VCC never used COSCO’s dispute resolution process. RX5, RX15 (Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests (May 31, 2024) at Request for Admission at 8, Interrogatory at 23).

RESPONSE: Admitted in part. VCC admits that it did not directly request free time extensions to COSCO because it did not have access to its dispute submission system. *Id.*

RPFF196. VCC knew or was “always made aware of” the last free day within the terminal or port as it related to the returning of empty containers and when detention charges for the extended use of a container may start to accrue. CX478-479 (O’Toole Dep. at 129:17-22; 130:1-9).

F. COSCO DEMURRAGE AND DETENTION RATES ARE LOW

RPFF197. Demurrage and detention rates generally in North America are significantly higher than in the rest of the world. RX74 (Hackett Rpt. at 34).

RESPONSE: Admitted.

RPFF198. { [REDACTED]
[REDACTED]
[REDACTED]. }

RX84 (Hackett Rpt. at 44).

RESPONSE: Admitted in part, denied in part. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] } **Complainant’s Statement of Proposed Facts Section IV-VI.**

RPFF199. { [REDACTED]
[REDACTED]
[REDACTED] } RX84 (Hackett Rpt. at 44).

RESPONSE: Denied. COSCO produced an incomplete, unclear, and highly limited table purporting to represent its detention and demurrage collections. The McCown Report

dismissed that data as being not defined by time, included services, and also not being consolidated with COSCO's corporate tree. Tellingly, Hackett himself did not use the table COSCO provided to VCC in his own report. { [REDACTED]

VII. THE ALLEGED SHIPMENTS

A. VCC's WAREHOUSE OPERATIONS

RPFF200. During the Relevant Period, VCC leased and operated four warehouses in the United States, located in Burlington, NJ (508,000 sq. ft); Las Vegas, NV (207,000 sq. ft); Skokie, IL (300,000 sq. ft); and Houston, TX (400,000 sq. ft). CX23 -24 (Hirschel Dep.).

RESPONSE: Admitted.

RPFF201. In 2021, all of VCC's "facilities were a challenge to manage and we had to implement alternative incentives to ensure that [it] could deliver to our customers..." CX53-54 (Hirschel Dep).

RESPONSE: Denied. The ellipses used by COSCO throughout its proposed facts when quoting VCC's witnesses proves to again be a clear indicator for when the truth is being hidden. Mr. Hirschel's immediately subsequent statement to the one quoted in this proposed fact reads, "the work arrangement we had to develop to adhere to the CDC requirements forced us to rethink how we do business. We had to mandate mask usage. We had to put in place distancing procedures for interaction and so forth." *Id.* at 2:18-22. VCC only stated that rapid compliance with CDC requirements was difficult to manage. *Id.*

RPFF202. VCC experienced delays in unloading its cargo in its warehouses in 2021 and 2022. CX79 (Hirschel Dep).

RESPONSE: Admitted. See Complainant's Statement of Proposed Facts Section IV-VI.

RPFF203. VCC's Las Vegas warehouse employed approximately 25 individuals in 2021 and 2022. CX44 (Hirschel Dep.). This facility did not use a warehouse management system. CX55 (Hirschel Dep.).

RPFF204. VCC's Houston warehouse employed approximately 140 individuals in 2021 and 2022. CX45 (Hirschel Dep.). This facility did not use a warehouse management system. CX55 (Hirschel Dep.).

RESPONSE: Admitted.

RPFF205. VCC does not own or operate trucks for the movement of containers. CX26 (Hirschel Dep. at 5-8).

RESPONSE: Admitted.

RPFF206. VCC hired truckers (drayage providers) to move containers from terminals to its warehouses and distribution centers, and to move empty containers back to the terminals. CX408, 513 (O'Toole Dep. at 59:6-22; 164-12-21).

RPFF207. VCC tracked the containers it used with spreadsheets. CX74-CX75 (Hirschel Dep.)

RESPONSE: Admitted.

RPFF208. Recognizing the need to improve its supply chain management, VCC implemented a new enterprise resource planning ("ERP") system in 2023. CX52 (Hirschel Dep. at 12-18).

RESPONSE: Denied. This is a gross misrepresentation of Mr. Hirschel's testimony. First, the cited portion of his testimony does not mention supply chain management at all. *Id.* In the immediately subsequent line of questioning, Mr. Hirschel testified that VCC was using an ERP system to help it move warehouse locations because their lease had expired and to alleviate challenges related to CDC requirements. CX 53 at 2:2-22. Nothing in Mr. Hirschel's testimony mentions supply chain management trouble in 2023.

B. VCC's OPERATIONS IN BURLINGTON, NJ AND FAIRLESS HILLS, PA

RPFF209. In late 2019, VCC hired a new director of distribution to manage the Burlington, NJ warehouse. CX57 (Hirschel Dep.)

RESPONSE: Admitted.

RPFF210. VCC's Burlington, NJ warehouse employed approximately 150 individuals in 2021 and 2022. CX45 (Hirschel Dep.).

RESPONSE: Admitted.

RPFF211. In 2022, VCC obtained additional space and service in a third-party warehouse located in Fairless Hills, PA, close to its Burlington, NJ warehouse. CX81-CX83, CX87 (Hirschel Dep.); CX406 (O'Toole Dep. at 57:13-16).

RESPONSE: Admitted.

RPFF212. Cargo was unloaded from containers at the third-party warehouse in Fairless Hills. CX 407 (O'Toole Dep. at 58: 12).

RESPONSE: VCC admits that Fairless Hills was one of several warehouses used to unload cargo. *Id.*

RPFF213. In 2021, VCC also used a short-term warehouse in Westhampton. CX416-417 (O'Toole Dep. at 67:20-68:16).

RESPONSE: Admitted.

RPFF214. VCC used Sher-Del Transfer (a trucking company)("Sher-Del") to move loaded containers from the port to the Burlington, NJ warehouse during the Relevant Period. CX408 (O'Toole Dep. at 59:8-9).

RESPONSE: Admitted.

RPFF215. VCC had used Sher-Del since 1989. CX413 (O'Toole Dep. at 64:9-12).

RESPONSE: Admitted.

RPFF216. In 2023, VCC closed its Burlington, NJ warehouse and opened a larger facility in (Greer) South Carolina. CX 25 (Hirschel Dep.). The director of distribution of the Burlington, NJ warehouse left the employment of VCC in 2022. CX57-58 (Hirschel Dep.). VCC's Vice President of distributions and operations also left the company in 2023. CX57 (Hirschel Dep.).

RESPONSE: Admitted.

C. VCC AND RIM NSA

RPFF217. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]. } CX379-385 (O'Toole Dep. at 30-36).; RX176-191 (VCC047847-VCC047849, VCC000011-18); CX380 (O'Toole Dep. at 31:4-6; 31:15-17).

RESPONSE: Admitted.

RPFF218. The 2021 and 2022 NSA contracts between RIM and VCC did not include rates for storage of VCC cargo. CX382 (O'Toole Dep. at 33:11-14).

RESPONSE: Admitted.

RPFF219. Sher-del (VCC's trucker) had rates for storage. RX142 (VCC 0000010).

RESPONSE: Admitted.

RPFF220. { [REDACTED]
[REDACTED] } RX184.

RESPONSE: Admitted.

RPFF221. { [REDACTED]
[REDACTED]

[REDACTED]

[REDACTED] } RX186; *see also*, CX394 (O'Toole Dep. at 45:9-19).

RESPONSE: Admitted.

RPFF222. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] } RX186 (emphasis added); *see also*, CX395-396

(O'Toole Dep. at 46:1-14; 47:1-17).

RESPONSE: VCC admits that it was responsible for paying the detention and demurrage charges from COSCO and passed through by RIM.

RPFF223. RIM's relationship with the NVO appearing as shipper on the ocean bill of lading may have been governed by an agreement between RIM and the NVO shipper, but neither COSCO nor VCC are party to those agreements.

RESPONSE: Denied as speculative and unsupported. COSCO provides no citation to the Record to support the above proposed fact; therefore, it must be struck.

RPFF224. It is unclear on what basis RIM invoiced VCC for the any of the Charges alleged in the Complaint, whether under an NSA, under RIM's tariff rule, or under another agreement

not disclosed to COSCO in this proceeding.

RESPONSE: Denied. COSCO provides no citation to the Record to support the above proposed fact; therefore, it must be struck. RIM only charged VCC by direct pass-through the exact detention and demurrage fees assessed by COSCO. VCC produced dozens of invoices issued from COSCO to RIM to VCC. CRX 1-31 (VCC000058-88).

RPFF225. VCC did not produce any shipping documents issued by RIM or any of its other NVOs relating to shipments it alleges were moved by COSCO during the Relevant Period, despite assurances that documents listing VCC as shipper would be produced. RX10 (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (May 31, 2024) Interrogatory 11 at 9).

RPFF226. **RESPONSE: Denied.** This is patently false and further evidence of COSCO intentionally withholding responsive and relevant documents. VCC produced dozens of invoices issued directly from COSCO to RIM. *See, inter alia*, CRX 1-31 (VCC000058-88) – which represents only a portion of the invoices produced in this litigation. VCC reiterates its claims regarding COSCO's failure to produce the same.

D. VCC and RIM BOOKING PRACTICE

RPFF227. VCC instructed RIM to move its oceanborne shipments through numerous ports in the United States, and two (2) in Canada, namely, (1) Los Angeles/Long Beach, (2) New York/New Jersey, (3) Houston (4) Prince Rupert, Canada (5) Vancouver, Canada (6) Savannah, (7) Seattle, and (8) Oakland. CX376 (O'Toole Dep. at 27:3-13).

RESPONSE: Admitted.

RPFF228. VCC's "origin office" located in China was "responsible for booking all the freight to the [VCC] Las Vegas, Skokie, and [the] Burlington warehouse." CX438-439

(O'Toole Dep. at 89:22-90:9).

RESPONSE: Admitted.

RPFF229. VCC's China office instructed RIM to book service with ocean carriers, specifying at which U.S. port VCC's cargo should arrive. CX419, 439-440 (O'Toole Dep. at 70:7-10; 90:10-18; 91:4-7).

RESPONSE: Admitted in part. VCC admits that its China office instructed RIM to book service with ocean carriers, but did not have discretion as to which port they would ship to because of the capacity limitations caused by COSCO's spot market. "Again, going back to this time, we were probably subject to where our capacity was available." VCC was not in a position to decide which ports it would ship to because the capacity on U.S.-bound vessels was restricted and contracted bookings were unavailable due to steamship lines' prioritization of "spot market rate." CX 442. This was another method implemented by SSLs to profit off of the COVID-19 pandemic by granting priority container access on inbound vessels to shippers who paid above-market rates. CX 442-3.

RPFF230. RIM chose the ocean common carrier ("steamship line") on which VCC's loaded containers would actually be loaded. CX437 (O'Toole Dep. at 88:2-5).

RESPONSE: Admitted.

RPFF231. RIM contracted with other NVOCCs, who in turn booked on ocean carriers, such as COSCO. CX439-CX440 (O'Toole Dep. at 90:3-22, 91:1-7).

RESPONSE: Denied. The cited section of Mr. O'Toole's testimony does not state that RIM contracted with other NVOCCs. *Id.* In the cited section, Mr. O'Toole is describing that VCC partnered with NVOs to book containers with COSCO. *Id.*

RPFF232. { [REDACTED]

[REDACTED]

[REDACTED] } RX23 (COSCO_001864).

RESPONSE: Admitted in part, denied in part. VCC admits that there was one instance of RIM appearing as “consignee” and “notify party” on a bill of lading produced by COSCO. VCC denies that there were multiple such bills as COSCO has not provided any evidence to support the same.

RPFF233. RIM may not have merely “pass[ed] through” charges that were invoiced to it to VCC, but instead, may have charged VCC more than its costs. CX118-119 (O’Toole Dep at 118:1-8; 119:4-6).

RESPONSE: Denied. COSCO misrepresents Mr. O’Toole’s testimony. In this line of questioning, counsel for COSCO was inquiring about RIM’s profits generally – to which Mr. O’Toole acknowledged that “RIM charges VCC more than its costs.” *Id.* That questioning was related to RIM’s booking fees and overall profit margin, not related to detention and demurrage charges which are passed through by RIM.

RPFF234. VCC understood that an “ocean transportation intermediary” or “NVOCC” is an intermediary that would handle logistics for VCC’s imports. CX372 (O’Toole Dep. at 23:13-18).

RESPONSE: Admitted.

E. RIM’S RESPONSIBILITY TO TIMELY PICK UP CARGO

i. COSCO’S Bills of Lading

RPFF235. [REDACTED]
[REDACTED] } RX176-RX191 (VCC047847-VCC047849, VCC000011-18).

RESPONSE: Admitted.

RPFF236. The contracts of carriage between COSCO and RIM were bills of lading issued by COSCO. The publicly-available terms and conditions reflected the responsibilities of the shipper and the consignee. COSCO Bill of Lading Terms and Conditions at https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidan_cn.pdf"https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidan_cn.pdf.

RESPONSE: Admitted.

RPFF237. { [REDACTED] } *E.g.*,
RX23 (COSCO_001864).

RESPONSE: Admitted in part, denied in part. VCC admits that there was one instance of RIM appearing as “consignee” and “notify party” on a bill of lading produced by COSCO. VCC denies that there were multiple such bills as COSCO has not provided any evidence to support the same.

RPFF238. VCC knew that RIM was the consignee vis a vis COSCO. CX396 (O’Toole Dep. at 47:18-21).

RESPONSE: Denied. This is patently false. When asked by counsel for COSCO what Mr. O’Toole’s understanding of the term “consignee” was under VCC’s service agreement with RIM, he stated, “it would be Visual Comfort, the receiver of the freight.” *Id.* Mr. O’Toole never stated that RIM would be the consignee. *Id.*

RPFF239. For the bills of lading for which it was named as consignee under CY-CY, freight collect terms, RIM was responsible to COSCO for timely collecting the cargo at the place of discharge and for the return of COSCO’s empty container.

RESPONSE: VCC is without sufficient information to admit or deny this proposed fact, but moves for it to be struck because COSCO offers no citation to the Record or other

evidence to support the statement.

ii. RIM WAS RESPONSIBLE; VCC HIRED TRUCKERS

RPFF240. VCC negotiated contracts with and paid for truckers (“drayage providers”) to haul containers loaded with VCC’s cargo from the marine terminal to VCC’s facilities in Burlington, NJ, Las Vegas, NV; Skokie, IL; and Houston, TX and also between those facilities and those of its third-party logistics providers in Fairless Hills and Westhampton. CX408-409 (O’Toole Dep. at 59:6-22; 60:1-7).

RESPONSE: Admitted.

RPFF241. VCC’s NVOs, including RIM, were also responsible for arranging trucking. CX409 (O’Toole Dep. at 60:10-16); CX402-403, 490-491 (O’Toole Dep. at 53:14-18; 53:22; 54:1-7; 141:4-22; 142:1-3).

RESPONSE: Admitted.

RPFF242. When its cargo arrived at the terminal, VCC stated that it was not involved in issuing instructions to its drayage providers for pick up. CX409-410 (O’Toole Dep.) at 60:20-22; 61:1-2.

RESPONSE: Admitted.

RPFF243. For cargo bound for VCC’s Burlington, NJ facility, RIM advised VCC’s drayage provider when the cargo was available for pick up from the port. CX410 (O’Toole Dep.) at 61:4-9.

RESPONSE: Admitted.

RPFF244. The scheduling of deliveries of cargo from the terminal to VCC’s warehouses was coordinated between VCC’s distribution centers and VCC’s drayage providers. CX410 (O’Toole Dep.) at 61:11-20.

RESPONSE: Admitted.

RPFF245. Because it received regular reports from the NVOs who acted as shippers at origin, VCC was aware of loaded containers remaining at the terminal beyond free time at the terminal, and likely to be incurring demurrage charges, as well as empty containers that had not been returned timely, and thus likely to incur detention charges. CX478 (O'Toole Dep.) at 129:17-21.

RESPONSE: VCC only admits that it was made aware of the last free day within the terminal or port. *Id.*

F. NEITHER VCC NOR RIM HAD A SERVICE CONTRACT WITH COSCO

RPFF246. VCC never entered into a service contract with COSCO. RX195 (Complainant's Supplemental Responses to Respondent's Request for Admission 3 at 3).

RESPONSE: Admitted.

RPFF247. VCC determined it was more beneficial financially for it to book containers through NVOs rather than having its China office book directly with ocean carriers, such as COSCO. CX439-CX440 (O'Toole Dep. at 90:20-91:3). VCC did not contract directly with COSCO for services.

RESPONSE: Admitted.

RPFF248. VCC asserted that it does not contract directly with any ocean common carrier. CX372, 378-379, 450-451 (O'Toole Dep. at 23:9-12; 29:22-1; 30:1-2; 101:22; 102:1-2).

RESPONSE: Admitted.

RPFF249. Although VCC may have *believed* RIM had a service contract with COSCO in which VCC was a "named account" (CX46 (Hirschel Dep. at 5-11)), this was not true.

RESPONSE: Denied.

RPFF250. VCC was never shown as either the shipper or the consignee on any of the bills of lading issued by COSCO. RX197-RX198 (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (May 31, 2024) Interrogatory 2 and 3 at 5-6).

RESPONSE: VCC is without sufficient information to admit or deny because COSCO failed to produce its bills of lading or invoices related to the containers at issue.

i. PAYMENTS/CHARGES

RPFF251. At deposition, neither Mr. O'Toole nor Mr. Hirschel could identify any shipments or cargo that VCC alleges was shipped by COSCO pursuant to the terms of a service contract either between VCC and COSCO or between RIM and COSCO. CX450 (O'Toole Dep. at 101:17-21); CX77 (Hirschel Dep. at 2-6).

RESPONSE: VCC admits that at the time of deposition, neither deponent could specifically identify such shipments. However, such shipments were produced to COSCO in VCC production bates-stamped VCC000005.

RPFF252. VCC alleged the shipments shown in VCC000005, VCGPOR2021, and VCGPOR2022 were all handled by RIM and carried by COSCO. RX206 (Complainant's Supplemental Responses to Respondent's Interrogatory 22 (September 9, 2024) at 14); CX548 (McCown Rpt.) at 23, FN26.

RESPONSE: Admitted.

RPFF253. VCC first alleged all the charges at issue in this proceeding were shown on the spreadsheet it produced in discovery. RX206 (Complainant's Supplemental Responses to Respondent's Interrogatory 22 (September 9, 2024) at 14); Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC000005)

RESPONSE: Admitted.

RPFF254. VCC's "expert" Mr. McCown used numerous spreadsheets for his Report (VCC00005, VCGPOR2021, and VCGPOR2022, and other, undisclosed) purporting to include charges invoiced to RIM. CX548 (McCown Rpt.) at FN26.

RESPONSE: Admitted in part. Denied in part. VCC admits that Mr. McCown used numerous spreadsheets – all of which were produced to COSCO and the Commission. VCC denies COSCO's claim that Mr. McCown used "undisclosed" spreadsheets for his Report. Despite providing a rebuttal expert, COSCO does not cite to a single source to support such a claim.

RPFF255. Mr. O'Toole testified that the untitled Column "O" in VCC000005 indicates the payee of each charge. CX517 (O'Toole Dep. at 168:7-16).

RESPONSE: Admitted.

RPFF256. RIM appears on bills of lading as "consignee" and "notify party."

RESPONSE: Denied. This is a grossly broad statement and not limited in any way by relevance to this proceeding. This proposed fact must be struck because COSCO provides no support for it from the Record.

RPFF257. No invoices from the payees listed in VCC00005 have been produced by VCC.

RESPONSE: Denied. Once again, VCC produced direct invoices from RIM to VCC with copies of direct invoices from COSCO to RIM. Apart from the hundreds of invoices produced to COSCO in this matter, COSCO has failed to produce a single invoice. *See, inter alia*, CRX 1-31 (VCC000058-88).

RPFF258. VCC000005 does not indicate who the payor of each alleged invoice may have been, as Mr. O'Toole testified, "not necessarily Visual Comfort paid..." CX517 (O'Toole

Dep. at 168:14-17).

RESPONSE: Denied. This is a bad faith fabrication by COSCO. Nothing about the cited testimony can reasonably be interpreted to support this proposed fact. The cited testimony is an obviously misleading quote from Mr. O'Toole's explanation of column O from VCC000005. COSCO's counsel asked, "Let's go ahead and take a look through [the spreadsheet]. Maybe that will help Mr. O'Toole understand what column O means." CX 517 (O'Toole Dep.) at 168:9-11. Mr. O'Toole responded, "So no, based on what we are seeing as we scroll down, I would make an educated guess that this is the provider in which we paid for those charges. So not necessarily [that] Visual Comfort paid, but where the payment was made to." *Id.* at 168:12-6. Mr. O'Toole was simply describing the column of information listing who VCC paid detention and demurrage fees, and COSCO has attempted to pull out five words from the middle of an answer to argue VCC did not pay the charges at issue.

RPFF259. No cancelled checks, credit card statements, or other proof of payment of any charges by either VCC or RIM are in the record.

RESPONSE: VCC admits that proof of payment from RIM to COSCO is not in the record due to COSCO's knowing refusal to produce the same. VCC has produced clear evidence that RIM was billed directly by COSCO, but COSCO has failed to produce those same invoices and proof of payment. *See inter alia*, CRX 1-31 (VCC000058-88). RIM was VCC's intermediary, so VCC would not have proof that RIM paid COSCO, but COSCO's refusal to produce documents in its possession precludes this proposed fact from being acceptable without context.

RPFF260. Purporting to represent the payees, (Column O) include terminals, trucking

companies, and railroads. Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC000005).

RESPONSE: Denied. COSCO fails to offer any specific evidence to support its statement that the dispute charges include storage fees from railroads. COSCO cites broadly to the entire list of disputed charges, but does not offer any details as to which containers fall into its allegation of being railroad charges. Column E of VCC000005 shows that all charges at issue in this proceeding were imposed by COSCO. CX 1221 (VCC000005).

RPFF261. The "charge description" (Column G) for 407 of the 438 lines on spreadsheet VC000005, read "storage." Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC000005).

RESPONSE: Admitted.

RPFF262. For the remaining 31 lines, "charge descriptions" were demurrage, detention, or per diem. Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC000005).

RESPONSE: Admitted.

RPFF263. COSCO did not invoice VCC for any of the alleged charges. CX387-388 (O'Toole Dep. at 38:16-22; 39:1-13); RX6 (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, at 5).

RESPONSE: Admitted in part, denied in part. VCC admits that COSCO did not *directly* invoice VCC for the charges, but did invoice RIM for the same. *See inter alia* CRX 1-31 (VCC000058-88). RIM then passed the exact amount of the charges through to VCC. CX 370 (O'Toole Dep.) at 38:18-39:9.

RPFF264. Spreadsheet VCC000005 Column B is entitled, "MBL" (master bill of lading). An MBL is also known as an ocean or original bill of lading. Respondent's Exhibit 14 (Produced

in Native Excel Format) (VCC000005).

RESPONSE: Admitted.

VIII. VCC'S REPARATIONS CLAIMS

RPFF265. When asked at deposition, VCC's Mr. Hirschel could not point to any of VCC's shipments moved by RIM via COSCO that had been restricted from timely pick up or return. CX77 (Hirschel Dep. at 2-6).

RESPONSE: VCC admits that when asked at deposition, Mr. Hirschel states that at that moment he could not list every container moved for VCC by RIM via COSCO. However, demanding the same of him is unreasonable and the full list of disputed containers were provided to COSCO in VCC000005.

RPFF266. When asked at deposition, Mr. Hirschel could not state how many shipments VCC alleges were in dispute. CX96 (Hirschel Dep.).

RESPONSE: VCC admits that when asked at deposition, Mr. Hirschel states that at that moment he could not list every container moved for VCC by RIM via COSCO. However, demanding the same of him is unreasonable and the full list of disputed containers were provided to COSCO in VCC000005.

RPFF267. When asked at deposition, Mr. Hirschel testified that he had never before seen VCC000005 (Respondent's Exhibit 14 produced in Native Excel Format), purported by VCC to be the complete list of shipments at issue in this proceeding. CX 96-CX97 (Hirschel Dep.).

RESPONSE: Admitted.

RPFF268. When asked at deposition, Mr. O'Toole testified that VCC000005 "came from RIM as part of their monthly reporting." CX427 (O'Toole Dep. at 78: 9-10).

RESPONSE: Denied. Mr. O'Toole stated that the containers at issue were derived from

RIM's monthly reporting. *Id.*

RPFF269. When asked at deposition, Mr. O'Toole testified that VCC00005 was prepared by Tenzing Consulting. CX514-CX515 (O'Toole Dep. at 165:17 – 166:7).

RESPONSE: Admitted.

RPFF270. When asked at deposition, Mr. O'Toole could not specify how many invoices were in dispute. CX 427 (O'Toole Dep. at 78:11-13).

RESPONSE: VCC admits that when asked at deposition, Mr. O'Toole states that at that moment he could not list every invoice at issue. However, demanding the same of him is unreasonable and the full list of disputed containers were provided to COSCO in VCC000005.

RPFF271. Mr. O'Toole testified that VCC received credits on invoices it paid to RIM. CX455 (O'Toole Dep. at 106: 4-20).

RESPONSE: VCC admits that when asked, "Did VCC ever receive any credit from RIM," Mr. O'Toole responded, "Yes." This is not sufficient to support COSCO's proposed fact that VCC received credits for invoices, much less that such credits were relevant to the charges at issue.

RPFF272. VCC's Mr. Hirschel stated that he did not provide any documents to VCC's Expert Witness, John McCown. CX96 (Hirschel Dep. at 9-10).

RESPONSE: VCC admits that Mr. Hirschel did not personally provide documents to VCC's Expert Witness.

RPFF273. VCC's list of charges included charges for "Yard Storage" and "Storage." Respondent's Exhibit 14 (produced in Native Excel Format) (VCC000005).

RESPONSE: Admitted. COSCO listed some payments for per diem as "yard storage". CX

548 (McCown Report) at 57. COSCO does invoice storage charges for container storage on the terminal yard. CX 761 (Takase Dep.).

RPFF274. VCC's assertion of reparations is unsupported by the McCown Report. Table 7 of the McCown Report (Fourth Edition dated October 17, 2024) does not accurately summarize the underlying data Mr. McCown said he used. McCown asserted the two internal files he used showed a total of 1,844 forty-foot containers moved by VCC from Asia to the U.S. with COSCO in 2021 and 2022. But the two data files purport to contain records of invoices, with only one container listed in each invoice. RX78-RX80 (Hackett Rpt. at 38-40).

RESPONSE: Denied. The charge amounts in Table 7 come from the 319 container shipments that were charged and are detailed in the single worksheet with such amounts. COSCO is trying to conflate loads charged with overall loads moved to say that McCown's charge amounts aren't supported. The footnote referencing those files relates to the total shipments based on trucking activity on COSCO loads each year. Those files are not intended to backup the charge amounts, which were sourced from a separate worksheet.

RPFF275. Mr. McCown's count of containers includes hundreds of containers moved by ocean carriers *other than COSCO* and double counts dozens of containers. RX82 (Hackett Rpt. at 42).

RESPONSE: Denied. COSCO is continuing to conflate separate data sets as this case – and McCown's conclusions – has nothing to do with the total number of loads that moved with COSCO, and only concerns the 319 loads that were charged. Even if the total number of all trucking shipments were relevant to McCown's conclusions, which its not, neither COSCO nor Hackett provide any factual support for the claim that carriers other than COSCO were involved. Column E of VCC000005 shows that all charges at issue in this proceeding were imposed by COSCO. CX 1221 (VCC000005).

RPFF276. The McCown Report miscalculates VCC's costs. RX82 (Hackett Rpt. at 42).

RESPONSE: Denied. The invoices referenced by Hackett's Report in support of this proposed facts are all trucking related; and accordingly, have nothing to do with the detention and demurrage charges at issue in this proceeding. Further, this proposed fact is merely a verbatim header from the Hackett Report. *Id.* That header is then completely unsupported by subsequent statements, none of which address VCC's costs. *Id.*

RPFF277. The data file Mr. McCown said he used for 2021 includes 961 data entries. RX82 (Hackett Rpt. at 42).

RESPONSE: Denied. Here again COSCO is misleading the Commission as to the relevant data by referencing their own interpretation of *total* trucking data to undermine the McCown Report. However – and as described above – the data referenced by COSCO and Hackett is the list of trucking shipments that *did not* have accessorial charges assessed. Table 7 of the McCown report uses a separate dataset of the 319 loads that were assessed charges by COSCO.

RPFF278. The 2021 data file used by the McCown Report appears to include data for all ocean carriers used by VCC, not just COSCO. RX79 (Hackett Rpt. at 39).

RESPONSE: Denied. See Complainant's Response to RPFF 277.

RPFF279. All 961 of the line items in the 2021 data file purported to reflect charges relating to cargo destined for VCC's Las Vegas warehouses, as were 963 of the 995 invoices in 2022, with the remaining 32 destined for Houston. There was no indication in either of the two data sets used by the McCown Report reflected any cargo moved through Maher Terminal in the Port of New York/New Jersey, despite the fact that McCown Report purports to rely on the information from those data sets to show import activity at that location. RX80 (Hackett Rpt. at 40).

RESPONSE: Denied. The spreadsheet of charges by container number produced as VCC000005 (CX 1221) shows repeated instances of loads moving through Maher Terminals.

RPFF280. The 2022 data Mr. McCown said he used to produce his expert analysis does not contain the 983 COSCO shipments that Mr. McCown described. Rather, of the 995 lines purporting to represent invoices in the datafile, just 216 are attributed to COSCO; the remainder (719) are attributed to ocean carriers other than COSCO. RX82 (Hackett Rpt. at 42).

RESPONSE: Denied. See Complainant's Responses to RPFF 279. The spreadsheet of charges by container number produced as VCC000005 (CX 1221) has all the charge at issue, and the Hackett Report's fixation on the amount charged for trucking is irrelevant. The files referenced in this proposed fact are limited to trucking activity used as proof of the total loads moved, not the containers at issue. Accordingly, all the other information in those files referenced by the Hackett Report and COSCO is irrelevant to this case. Column E of VCC000005 shows that all charges at issue in this proceeding were imposed by COSCO. CX 1221 (VCC000005).

RPFF281. The Fourth Edition of the McCown Reports represents that a further 100 shipments (those arriving in Canadian ports) were removed from the analysis, but these were removed from a different dataset than the two cited by McCown. RX79 (Hackett Rpt. at 39).

RESPONSE: Denied. See Complainant's Responses to RPFF 279, 280. The shipments removed from McCown's analysis were simultaneously removed from the VCC000005 dataset, which was used for McCown's calculation of charges, not the files repeatedly referenced by COSCO above.

RPFF282. VCC has an assignment of claims only from RIM. CX1238-CX1241.

RESPONSE: Admitted.

RPFF283. Mr. O'Toole testified that it was FedEx, not RIM, who handled containers for VCC arriving at Houston. CX373 (O'Toole Dep. at 24:19-20); CX446; O'Toole Dep. at 97:7-11).

RESPONSE: Denied. Mr. O'Toole testified that FedEx, among several other NVOCCs "was primarily used for our Houston facility," not that it was the exclusive container handler. This is another example of COSCO twisting clear testimony.

RPFF284. Charges related to Houston are included in the McCown 2021 data file. RX80 (Hackett Rpt. at 40).

RESPONSE: Admitted.

RPFF285. Even if the 961 records from the 2021 data file and the 216 COSCO records from 2022 data file are used, this would bring total to 1,177 forty-foot equivalent containers. This would still overstate the number of containers upon which Mr. McCown bases his analysis, as those data files reflect numerous instances of a single container having multiple records. RX80 (Hackett Rpt.) at 40.

RESPONSE: Denied. See Complainant's Responses to RPFF 279-81. Once again, the McCown Report did not base its analysis off of the total number of all trucking loads. This should be obvious as only 319 shipments reflect charges, which are the only shipments relevant to this proceeding.

RPFF286. For 2021, there are only 896 unique booking number/container pairs. And In 2022 only 178 unique order number/container pairs. RX80 (Hackett Rpt.) at 40.

RESPONSE: Denied. See Complainant's Responses to RPFF 279-81, 285.

DATED: December 20, 2024

Respectfully submitted,

/s/ Jennifer M. Oliver

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CERTIFICATE OF SERVICE

I certify that on the 20th of December, a true and correct copy of the foregoing Complainant's Responses to Respondent's Proposed Facts were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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